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INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Alliance Finance Company PLC (the "Company") and the Consolidated financial statements of the Company and its subsidiary (the "Group"), which comprise the Statements of financial position as at 31 March, 2022 and the Statements of profit or loss, Statements of other comprehensive income, Statements of changes in equity and Statements of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March, 2022 and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

For each matter below, we have provided a description of how our audit procedures addressed the matter in that context.



Partners: P.P. Edirisinghe FCA ACIM MBA Ms. M.K.K. Karunaratne FCA ACMA P.K.A.M. Alahakoon ACA MAAT
S.A. Harischandra FCA ACMA CGMA MBA Bcom (Sp.)
Consultants: A.T.P. Edirisinghe FCA FCMA (UK) A.D. Jayasena FCA

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INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Key Audit Matters (Continued)

Key audit matter	How our audit procedures addressed the key audit matter
Impairment charges (expected credit losses/ECLs) for loans and advances, lease and hire purchase rental receivables The accounting policy relating to the provisioning of impairment for loans and advances, lease rental receivables hire purchase rental receivables as described in note 4.5.7, the detail relating to impairment charges for the year ended 31 March 2022 is included in note 11, and details of provisions carried at 31 March 2022 are included in note 23, 24 and 25. The assessment of impairment requires significant judgment by the Company and Group and may have a significant impact on the financial statements. Given the subjectivity and reliance on estimates and judgments inherent in the determination of the provision for impairment and historical issues in relation to classifying loans as non-performing advances (NPAs), the significance of the loans and receivables, lease and hire purchases receivables balances to these financial statements, the inherent complexity of the Company's ECL models used to measure impairment allowances and the level of required disclosures set out by the requirements of SLFRS 7 financial instruments: Disclosures, we determined this to be a matter of most significance to our audit. Impairment allowances represent management's best estimate of the losses incurred within the loan portfolios at the reporting date. They are calculated on a collective basis for portfolios of loans of a similar nature (the collective impairment model) and on an individual basis for significant loans (individual impairment model). Both models used by the company utilize arrears as the primary impairment trigger; however, there is a risk that other impairment triggers are not identified on a timely basis.	We assessed whether the Company and the Group's impairment computations and underlying methodology align with the requirements of SLFRS 9 with consideration of worsened economic condition COVID-19 impacts and related responses from industry, the regulator, and CA Sri Lanka based on the best available information up to the date of our report. Our audit procedure was designed to obtain sufficient and appropriate audit evidence, including amongst others the following. • Evaluated design, implementation, and operating effectiveness of controls over estimation of impairment of loans and receivables, which included assessing the level of oversight, review, and approval of impairment policies by the Board of Directors. • We checked the completeness and accuracy of underlying data used in the computations. In addition to the above, the following procedures were performed. For individual impairment • We tested control over the timely identification of potentially impaired loans and receivables. • We tested the sample of loans and receivables to ascertain whether the loss event (the point at which impairment is recognized) had been identified in a timely manner. • Selected a sample of large customers based on quantitative thresholds where individually identified by management due to; a significant increase in credit risks, having signs of deterioration, or in areas of emerging risk (assessed against external market conditions and in particular considering prevailing uncertain and volatile macro-economic environment and the impacts of COVID-19). • We assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rate, and the valuation of collateral held. We also compared the actual recoveries against previously estimated amounts of future recoveries.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Key Audit Matters (Continued)

Key audit matter	How our audit procedures addressed the key audit matter
For the collective impairment model (ECL model), impairment is calculated on a modeled basis for portfolios of loans and advances. This is because loans and advances considered under this model comprise large numbers of accounts with relatively small individual balances. The key assumptions and judgments made by the Company underlie the calculation of impairment. A high degree of complexity and judgment is involved in estimating impairment. There are also several key assumptions made by the Company in applying the requirements of SLFRS 9 to the ECL model including the identification of the loss stage, probability of default (PD), loss given default (LGD), macroeconomic scenarios including their weighting and judgments over the use of data inputs required. The prevailing uncertain and volatile macro-economic environment, continued disruption to economic activities caused by lack of power supply/fuel, union actions, and lack of availability of critical resources including raw materials for production have meant that assumptions regarding the economic outlook are more uncertain which, combined with varying government responses, increases the level of judgment required by the Company and the Group in estimating impairment allowances.	• Evaluated the associated reasonability of the provisions made with particular focus on the prevailing uncertain and volatile macro-economic environment and the impacts of COVID-19) on high-risk industries, strategic responsive actions are taken, collateral values, and the value and timing of recoveries. For collective impairment • Assessed the completeness of the underlying information in loans and advances used in the impairment calculations by agreeing with details to the Company and Group's sources of documents and information as well as re-performing the calculation of impairment allowance using computer-assisted audit techniques. • Assessed the reasonableness of macro-economic and other factors used by management in their judgmental overlays. We evaluated the different macro-economic scenarios considered by management, the reasonableness of the scenario chosen, and the weightages applied. • Assessed the reasonability of the basis for and data used by Management to determine overlays in consideration of the scenarios used. • Recalculated the ECL on sample basis, by using the key assumptions used in the models, such as PD and LGD. • We assessed the adequacy of the related financial statement disclosures set out in notes 2.12.3, 4.5.7, 11, 23, 24, 25, and 54.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Other information

Directors are responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors and Those Charged with Governance for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as the Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibility for the Audit of the Financial Statements

The Directors and those charged with governance are responsible for overseeing the Group's financial reporting process.

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Auditor's Responsibility for the Audit of the Financial Statements (Continued)

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3337.


Edirisinghe & Co.,
Chartered Accountants
Colombo
08- June-2022



Alliance Finance Company PLC

STATEMENTS OF PROFIT OR LOSS

For the year ended 31st March 2022

		Company		Group	
	Notes	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Gross Income	6	8,697,463,749	7,799,463,274	8,776,702,341	7,863,173,738
Interest income		7,852,033,338	7,172,427,543	7,858,602,585	7,175,165,275
Interest expenses		(2,651,181,039)	(2,912,756,756)	(2,651,181,039)	(2,912,756,756)
Net Interest Income	7	5,200,852,299	4,259,670,787	5,207,421,546	4,262,408,519
Fee and commission income		267,503,991	191,518,532	341,843,804	252,491,264
Fee and commission expenses		(255,158,346)	(272,347,232)	(255,158,346)	(272,354,366)
Net Fee and Commission Income	8	12,345,645	(80,828,700)	86,685,458	(19,863,102)
Net gain/(loss) from trading	9	28,124,476	17,262,743	28,604,778	17,262,743
Other operating income (net)	10	549,801,944	418,254,456	547,651,174	418,254,456
Total Operating Income		5,791,124,364	4,614,359,286	5,870,362,956	4,678,062,616
Impairment charges for loans and other losses	11	(102,890,184)	(752,126,049)	(102,890,184)	(752,126,049)
Net Operating Income		5,688,234,180	3,862,233,237	5,767,472,772	3,925,936,567
Operating Expenses					
Personnel expenses	12	(1,193,004,228)	(923,854,826)	(1,203,890,498)	(934,266,544)
Other operating expenses	13	(1,455,233,111)	(1,204,412,964)	(1,462,637,445)	(1,211,268,151)
Depreciation and amortization	14	(127,463,057)	(132,270,692)	(127,957,310)	(132,376,288)
Total operating expenses		(2,775,700,396)	(2,260,538,482)	(2,794,485,253)	(2,277,910,983)
Operating Profit before Taxes on Financial Services		2,912,533,784	1,601,694,755	2,972,987,518	1,648,025,584
Taxes on financial services	15	(554,549,356)	(307,871,498)	(554,549,356)	(307,871,498)
Operating Profit after Taxes on Financial Services		2,357,984,428	1,293,823,257	2,418,438,162	1,340,154,086
Share of profit/(loss) from associate		5,946,770	2,129,344	5,946,770	2,129,344
Profit before Taxation from Operations		2,363,931,198	1,295,952,601	2,424,384,932	1,342,283,430
Provision for income taxation	16	(900,830,572)	(735,062,807)	(913,616,229)	(746,181,731)
Profit for the year		1,463,100,626	560,889,794	1,510,768,703	596,101,699
Profit attributable to:					
Equity holders of the company		1,463,100,626	560,889,794	1,492,529,033	583,404,288
Non controlling interest		-	-	18,239,670	12,697,411
Profit for the year		1,463,100,626	560,889,794	1,510,768,703	596,101,699
Basic Earnings Per Share	17	43.42	16.65	44.29	17.31
Dividend Per Share	18	12.00	-	12.11	-

Figures in brackets indicate deductions.

Accounting policies & notes to accounts on pages 07 to 95 form an integral part of these Financial Statements.



Alliance Finance Company PLC
STATEMENTS OF COMPREHENSIVE INCOME
For the year ended 31st March 2022

	Notes	Company 2022	2021 Rs.	Group 2022	2021 Rs.
Profit for the year		1,463,100,626	560,889,794	1,510,768,703	596,101,699
Other Comprehensive Income					
Other Comprehensive Income not to be Reclassified to Profit or Loss					
Actuarial gains /(losses) on defined benefit plans	43	(114,165,613)	(25,068,189)	(113,377,667)	(25,070,165)
Deferred tax effect on above		27,399,747	6,016,365	27,399,747	6,016,365
		(86,765,866)	(19,051,824)	(85,977,920)	(19,053,800)
Surplus from revaluation of property, plant & equipment	33	-	707,379,021	-	707,379,021
Deferred tax effect on land		-	(153,209,514)	-	(153,209,514)
Deferred tax effect on building		-	(16,561,451)	-	(16,561,451)
		-	537,608,056	-	537,608,056
Equity investments at FVOCI - net change in fair value and disposal gain / (loss)		(103,157,996)	123,996,645	(101,670,914)	123,996,645
Net Other Comprehensive Income not to be Reclassified to Profit or Loss		(189,923,862)	642,552,878	(187,648,834)	642,550,902
Total Comprehensive Income for the year		<u>1,273,176,764</u>	<u>1,203,442,672</u>	<u>1,323,119,869</u>	<u>1,238,652,601</u>
Attributable to:					
Equity holders of the company		1,273,176,764	1,203,442,672	1,304,880,199	1,225,955,190
Non controlling interest		-	-	18,239,670	12,697,411
Total Comprehensive Income for the year		<u>1,273,176,764</u>	<u>1,203,442,672</u>	<u>1,323,119,869</u>	<u>1,238,652,601</u>

Figures in brackets indicate deductions.

Accounting policies & notes to accounts on pages 07 to 95 form an integral part of these Financial Statements.



Alliance Finance Company PLC
STATEMENTS OF FINANCIAL POSITION
As at 31st March 2022

Assets	Notes	Company		Group	
		2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Cash and cash equivalents	21	795,260,944	587,405,947	898,748,640	637,840,499
Repurchase agreements		250,000,000	400,203,715	250,000,000	400,203,715
Placements with banks & financial institutions		287,925,208	793,564,909	287,925,208	793,564,909
Financial assets recognised through profit or loss	22	1,502,280,225	1,177,459,993	1,502,280,225	1,177,459,993
Loans and advances - at amortised cost	23	14,797,772,357	6,626,972,697	14,797,772,357	6,626,972,697
Lease rentals receivable & stock out on hire - at amortised cost	24	25,503,747,256	19,978,211,851	25,503,747,256	19,978,211,851
Hire purchase rentals receivable & stock out on hire - at amortised cost	25	-	5,542,117	-	5,542,117
Financial assets- fair value through other comprehensive income	26	184,720,884	203,724,802	184,720,884	203,724,802
Other trading stocks	27	392,525,744	279,566,570	392,525,744	279,566,570
Other financial assets	28	636,340,449	492,931,228	630,656,592	564,090,869
Other non financial assets	29	243,886,129	163,285,409	244,361,452	163,760,732
Derivative financial assets	41	82,923,194	-	82,923,194	-
Investments in associates	30	49,838,348	47,756,062	83,092,843	96,563,532
Investments in subsidiaries	31	16,924,038	16,924,038	-	-
Investment property	32	159,590,100	574,254,000	245,250,516	574,254,000
Property, plant & equipment	33	2,502,324,245	2,377,684,658	2,503,442,359	2,377,956,161
Intangible assets	34	126,715,431	58,497,170	127,180,497	58,497,170
Right of use asset	35	397,784,021	193,321,481	397,784,021	193,321,481
Deferred tax assets	44	209,679,475	144,831,784	210,485,254	145,567,344
Total Assets		48,140,238,048	34,122,138,431	48,342,897,042	34,277,098,442
Liabilities					
Due to banks	36	22,558,061,981	13,214,241,102	22,558,061,981	13,214,241,102
Due to depositors - at amortised cost	37	14,681,375,682	12,918,786,478	14,681,375,682	12,918,786,478
Debt instruments issued and other borrowed funds	38	867,759,553	-	867,759,553	-
Other financial liabilities	39	1,670,249,511	883,877,701	1,704,808,662	899,693,781
Other non financial liabilities	40	184,106,172	60,188,110	184,106,173	60,188,110
Derivative financial liabilities	41	-	13,545,550	-	13,545,550
Income tax liabilities	42	865,153,792	646,313,080	869,537,847	649,705,208
Retirement benefit liabilities	43	121,428,671	12,924,029	124,326,196	15,988,862
Deferred tax liabilities	44	510,728,430	555,848,404	510,728,430	555,855,791
Total Liabilities		41,458,863,792	28,305,724,454	41,500,704,524	28,328,004,882
Shareholders' Funds					
Stated capital	45	613,980,000	613,980,000	613,980,000	613,980,000
Retained earnings	46	3,500,238,368	2,295,549,890	3,588,577,822	2,374,274,468
Reserves	47	2,567,155,888	2,906,884,087	2,567,155,888	2,906,884,087
Total Equity Attributable to Equity Holders of the Company		6,681,374,256	5,816,413,977	6,769,713,710	5,895,138,555
Non controlling interest		-	-	72,478,808	53,955,005
Total Equity		6,681,374,256	5,816,413,977	6,842,192,518	5,949,093,560
Total Liabilities and Shareholders' Funds		48,140,238,048	34,122,138,431	48,342,897,042	34,277,098,442
Contingent Liabilities and Commitments		38,415,571	261,333,077	38,415,571	261,333,077
Net assets value per share (Rs.)	19	198	173	201	175

Accounting policies & notes to accounts on pages 07 to 95 form an integral part of these Financial Statements.

Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

Dimuthu Tillekeratne
AGM-Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by,

Kusal Jayawardana
Deputy Managing Director
08-Jun-22
Colombo

Romani De Silva
Deputy Chairman & Managing Director



Alliance Finance Company PLC

STATEMENTS OF CHANGES IN EQUITY

For the year ended 31st March 2022

Company	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2020	613,980,000	876,036,520	1,018,409,546	388,258,055	(61,455,160)	-	1,777,742,345	4,612,971,306
Profit for the year	-	-	-	-	-	-	560,889,794	560,889,794
Other comprehensive income, net of tax	-	-	-	-	-	-	-	-
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	-	(19,051,824)	(19,051,824)
Revaluation Surplus	-	-	537,608,056	-	-	-	-	537,608,056
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	123,996,645	-	-	123,996,645
Transfer of realized profit/(loss) on equity instrument disposal to retained earnings	-	-	-	-	(4,014,065)	-	4,014,065	-
Transfer to statutory reserve	-	28,044,490	-	-	-	-	(28,044,490)	-
Balances as at 31st March 2021	613,980,000	904,081,009	1,556,017,602	388,258,055	58,527,420	-	2,295,549,890	5,816,413,977
Balance as at 1st April 2021	613,980,000	904,081,009	1,556,017,602	388,258,055	58,527,420	-	2,295,549,890	5,816,413,977
Profit for the year	-	-	-	-	-	-	1,463,100,626	1,463,100,626
Other comprehensive income, net of tax	-	-	-	-	-	-	-	-
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	-	(86,765,866)	(86,765,866)
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	(103,157,996)	-	-	(103,157,996)
Transfer of realized profit/(loss) on equity instrument disposal to retained earnings	-	-	-	-	22,902,218	-	(22,902,218)	-
Net Asset adjustment - Associate Company	-	-	-	-	-	-	(3,864,484)	(3,864,484)
Transfer of realized profit on investment property disposal to retained earnings	-	-	(332,627,451)	-	-	-	332,627,451	-
Transfer to statutory reserve	-	73,155,031	-	-	-	-	(73,155,031)	-
Dividend paid	-	-	-	-	-	-	(404,352,000)	(404,352,000)
Balances as at 31st March 2022	613,980,000	977,236,040	1,223,390,151	388,258,055	(21,728,358)	-	3,500,238,368	6,681,374,256

Figures in brackets indicate deductions.

Accounting policies & notes to accounts on pages 07 to 95 form an integral part of these Financial Statements.



Alliance Finance Company PLC

STATEMENTS OF CHANGES IN EQUITY

For the year ended 31st March 2022

Group

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2020	613,980,000	876,036,520	1,018,409,546	388,258,055	(61,455,160)	41,258,308	1,833,953,692	4,710,440,961
Profit for the year	-	-	-	-	-	12,697,411	583,404,287	596,101,698
Other comprehensive income, net of tax -								
Net actuarial gain/(loss) on defined benefit	-	-	-	-	-	(714)	(19,053,087)	(19,053,801)
Revaluation Surplus	-	-	537,608,056	-	-	-	-	537,608,056
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	123,996,645	-	-	123,996,645
Transfer of realized profit / (loss) on equity instrument disposal to retained earnings	-	-	-	-	(4,014,065)	-	4,014,065	-
Transfer to statutory reserve	-	28,044,490	-	-	-	-	(28,044,490)	-
Balances as at 31st March 2021	613,980,000	904,081,009	1,556,017,602	388,258,055	58,527,420	53,955,005	2,374,274,468	5,949,093,560
Balance as at 1st April 2021	613,980,000	904,081,009	1,556,017,602	388,258,055	58,527,420	53,955,005	2,374,274,468	5,949,093,560
Profit for the year	-	-	-	-	-	18,239,670	1,492,529,033	1,510,768,703
Other comprehensive income, net of tax -								
Net actuarial gain/(loss) on defined benefit	-	-	-	-	-	284,133	(86,262,053)	(85,977,920)
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	(103,157,996)	-	-	(103,157,996)
Transfer of realized profit on equity instrument disposal to retained earnings	-	-	-	-	22,902,218	-	(22,902,218)	-
Net Asset adjustment - Associate Company	-	-	-	-	-	-	(20,372,399)	(20,372,399)
Transfer of realized profit on investment property disposal to retained earnings	-	-	(332,627,451)	-	-	-	332,627,451	-
Transfer to statutory reserve	-	73,155,031	-	-	-	-	(73,155,031)	-
Dividend paid	-	-	-	-	-	-	(408,161,429)	(408,161,429)
Balances as at 31st March 2022	613,980,000	977,236,040	1,223,390,151	388,258,055	(21,728,358)	72,478,808	3,588,577,822	6,842,192,518

Figures in brackets indicate deductions.

Accounting policies & notes to accounts on pages 07 to 95 form an integral part of these Financial Statements.



Alliance Finance Company PLC
STATEMENTS OF CASH FLOWS
For the year ended 31st March 2022

As at 31st March	Note	Company		Group	
		2022	2021	2022	2021
		Rs.	Rs.	Rs.	Rs.
Cash Flows From / (Used in) Operating Activities					
Profit before Income Tax Expense		2,363,931,198	1,295,952,601	2,424,384,932	1,342,283,430
Adjustments for;					
Depreciation of property, plant & equipment	14	116,431,961	123,282,161	116,816,283	123,387,757
Amortization of intangible assets	14	11,031,096	8,988,531	11,141,027	8,988,531
Intangible asset write-off	-	1,014,204	(753,265)	1,014,204	(753,265)
Depreciation adjustment	-	(10,505,851)	-	(10,505,851)	-
Amortization of right of use asset	35	104,584,448	71,961,239	104,584,448	71,961,239
Impairment (reversal)/ provision	11	(133,250,305)	279,399,091	(133,250,305)	279,399,091
Interest on fixed deposits, commercial paper & treasury bills	-	(67,058,063)	(123,297,343)	(73,627,310)	(126,035,075)
Fair value (gain)/loss on investments (FVTPL)	-	(275,394)	2,031,684	(275,394)	2,031,684
Fair value gain on investment property	32	(27,009,600)	(25,254,000)	(27,009,600)	(25,254,000)
Bad debt written-off	11	236,140,489	472,726,958	236,140,489	472,726,958
Diminution/(appreciation) in value of treasury bonds	-	(4,043)	4,222,979	(4,043)	4,222,979
Loss/(profit) on disposal of property, plant & equipment	-	(13,729,654)	(42,278,926)	(13,729,654)	(42,278,926)
Loss/(profit) on disposal of investment property	-	(67,140,000)	-	(67,140,000)	-
Profit From Disposal of Financial Instrument (Quoted Shares)	-	-	-	(480,302)	-
Profit from sale of vehicle	-	(111,492,609)	(42,430,107)	(111,492,609)	(42,430,107)
Provision/(reversal) for defined benefit plans	43	43,803,310	31,822,498	44,423,948	32,594,083
Dividend received	-	(16,809,063)	(6,825,336)	(11,610,626)	(6,825,336)
Share of loss/(profit) from associates	30	(5,946,770)	(2,129,344)	(5,946,770)	(2,129,344)
Operating Profit before Working Capital Changes		2,423,715,354	2,047,419,421	2,483,432,867	2,091,889,699
(Increase)/decrease in trading stock	-	(1,043,219,266)	(442,760,279)	(1,043,219,266)	(442,760,279)
(Increase)/decrease in loans and advances	23	(8,268,070,660)	(772,080,576)	(8,268,070,660)	(772,080,576)
(Increase)/decrease in lease rentals receivable	24	(5,531,357,034)	(348,913,589)	(5,531,357,034)	(348,913,589)
(Increase)/decrease in hire purchase rentals receivable	25	5,744,562	(796,750)	5,744,562	(796,750)
(Increase)/decrease in fixed deposits & repurchase agreements	-	655,843,416	72,237,395	655,843,416	72,237,395
(Increase)/decrease in other financial assets	-	(143,409,221)	(30,248,360)	(150,179,199)	(25,594,154)
(Increase)/decrease in other non financial assets	-	(222,002,020)	78,542,359	(222,002,020)	78,542,351
Increase/(decrease) in amounts due to depositors	37	1,762,589,204	571,489,629	1,762,589,204	571,489,629
Increase/(decrease) in derivative financial liabilities	-	(96,468,744)	(46,290,727)	(96,468,744)	(46,290,727)
Increase/(decrease) in other financial liabilities	-	786,371,811	92,173,788	805,114,883	89,339,863
Increase/(decrease) in other non financial liabilities	-	142,278,241	48,712,361	142,278,241	48,712,361
Cash generated from/(used in) Operations		(9,527,984,357)	1,269,484,672	(9,456,293,750)	1,315,775,224
Retirement benefit liabilities paid	43	(10,155,107)	(11,433,290)	(10,155,107)	(11,433,290)
Investment in gratuity fund	43	(39,309,174)	(31,486,681)	(39,309,174)	(31,486,681)
Taxes paid	42	(782,917,956)	(243,453,026)	(794,789,292)	(254,286,674)
Net cash generated from/(used in) operating activities		(10,360,366,594)	983,111,675	(10,300,547,323)	1,018,568,579
Cash Flows from Investing Activities					
Acquisition of property, plant & equipment	33	(238,188,743)	(116,837,204)	(239,659,582)	(117,093,104)
Acquisition of ROU	35	(60,536,000)	6,434,908	(60,536,000)	6,434,908
Acquisition of Intangible Assets	34	(80,263,561)	(12,230,194)	(80,838,558)	(12,230,194)
Investment in unquoted equities	-	-	-	(954,940)	-
Proceeds from sales of property, plant & equipment	-	21,352,700	61,048,800	21,352,700	61,048,800
Proceeds from sales of investment property	32	508,813,500	-	508,813,500	-
Proceeds from sales of vehicles	-	1,041,752,701	413,012,005	1,041,752,701	413,012,005
Purchase of Equipment relating to the investment property	-	-	-	(1,807,034)	-
Net sales/ (purchases) of financial investments -FVTPL/FVOCI	-	(408,694,873)	424,735,963	(408,214,571)	424,735,963
Dividend received	-	16,809,063	6,825,336	11,610,626	6,825,336
Interest on fixed deposits, commercial paper & treasury bills	-	67,058,063	123,297,343	73,627,310	126,035,075
Net cash generated from / (used in) investing activities		868,102,850	906,286,958	865,146,152	908,768,790
Cash flows from / (used in) financing activities					
Settlement of operating Lease liabilities	35	(107,109,688)	(77,981,423)	(107,109,688)	(77,981,423)
Increase/(decrease) in borrowed funds	-	867,759,550	-	867,759,550	-
Net increase / (decrease) in other borrowings	36	9,087,499,254	(2,045,470,065)	9,087,499,254	(2,045,470,066)
Dividend paid	-	(404,352,000)	-	(408,161,429)	-
Net cash generated from/(used in) financing activities		9,443,797,116	(2,123,451,488)	9,439,987,687	(2,123,451,489)
Net increase/(decrease) in cash and cash equivalents		(48,466,628)	(234,052,855)	4,586,516	(196,114,120)
Cash and cash equivalents at the beginning of the year	-	478,258,687	712,311,542	528,693,239	724,807,359
Cash and cash equivalents at the end of the year	-	429,792,059	478,258,687	533,279,755	528,693,239
Movement in Cash and Cash Equivalent		(48,466,628)	(234,052,855)	4,586,516	(196,114,120)

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown above.

Figures in brackets indicate deductions.

Accounting policies & notes to accounts on pages 07 to 95 form an integral part of these Financial Statements.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

1. CORPORATE INFORMATION

1.1 General

Alliance Finance Company PLC (the 'Company') is a public limited liability Company listed on the Colombo Stock Exchange and incorporated on July 18, 1956 under the Companies Ordinance No 51 of 1938 and domiciled in Sri Lanka. It is a Registered Finance Company regulated under the Finance Business Act No.42 of 2011 and amendments thereto. The Company is re-registered under the new Companies Act No 7 of 2007. The registered office of the Company and the principal place of business are situated at No.84, "Alliance House", Ward Place, Colombo 07.

1.2 Consolidated Financial Statements

Consolidated Financial Statements of the Group for the year ended 31st March 2022 comprises the Company, and its Subsidiary (together referred to as the "Group").

All the Group entities are limited liability Companies, incorporated and domiciled in Sri Lanka.

1.3 Principal Activities and Nature of Operations of the Company and Group

1.3.1 The Company

The Company provides a comprehensive range of financial services encompassing accepting deposits, lease financing, hire purchase financing, mortgage loans, gold loan, term loans and other credit facilities, operating leases, vehicle hiring, consumer credit, micro financing activities and other value added financial services.

1.3.2 Subsidiary

Details of the Subsidiary as at 31st March 2022 is given below.

Subsidiary	Principal Activities	Ownership %	Incorporation Date	Registered Address
Alfinco Insurance Brokers (Pvt.) Ltd	Insurance Brokering	63.94%	26 – February 2008	No. 84, "Alliance House", Ward Place, Colombo 07



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

1.3.3. Associate

Details of the Associate in operation as at 31st March 2022 is given below.

Associate	Principal Activities	Ownership % (Group)	Incorporation Date	Registered Address
Macbertan (Private) Limited	Manufacturing and trading of Non - Crossed Polyethylene Form, Air Bubble Sheet, Thermal Insulation for Heat Controlling in Roof and Flexible tubes, PPGI roofing sheet, local and import trading	22.45 %	07 th October 2007	No. 84, "Alliance House", Ward Place, Colombo 07

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Group and the separate Financial Statements of the Company, have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Finance Business Act No. 42 of 2011 and amendments thereto, and provides appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange (CSE).

The Financial Statements comprise of the Statements of Financial Position, Statements of Profit or Loss, Statements of Other Comprehensive Income, Statements of Changes in Equity and Statements of Cash Flow, together with the accounting policies and notes.

These financial statements, except for information presented on cash flows have been prepared following accrual basis.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

2.2 Responsibility for Financial Statements

The Board of Directors of the Company is responsible for the preparation and presentation of the Financial Statements of the Group and the Company as per Sri Lanka Accounting Standards (SLFRSs and LKASs) and the provisions of the Companies Act No. 7 of 2007.

2.3 Date of Authorization for Issue

The Financial Statements of the Group and Company for the year ended 31st March 2022 were approved and authorized for issue in accordance with a resolution of the Board of Directors on 08th June 2022.

2.4 Basis of Measurement

The Financial Statements of Group and Company have been prepared on the historical cost basis, except for the following material items in the Statements of Financial Position.

- Financial assets held at Fair Value Through Other Comprehensive Income (FVTOCI) (Note 26)
- Financial assets recognized Fair Value Through Profit or Loss (FVTPL) are measured at fair value (Note 22)
- Retirement benefit obligation measured at difference between present value of defined benefit plan asset and the present value of defined benefit plan liability (Note 43)
- Land and buildings which are measured at cost at the time of acquisition, subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 33)
- Investment property measured at fair value (Note 32)

2.5 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees which is the Group's functional and presentation currency of the primary economic environment in which Alliance Finance Company PLC operates. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee, unless otherwise stated.

2.6 Presentation of Financial Statements

The Group presents its Statement of Financial Position broadly in order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 54.3.

2.7 Materiality & Aggregation and Offsetting

In compliance with Sri Lanka Accounting Standard- LKAS 01 (Presentation of Financial Statements), each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.



Alliance Finance Company PLC**NOTES TO THE FINANCIAL STATEMENTS****For the Year ended 31st March 2022****Materiality & Aggregation and Offsetting (Continued.)**

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretations, and as specifically disclosed in the accounting policies.

2.8 Comparative Information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year. The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation.

2.9 Statements of Cash Flows

Statement of Cash Flows has been prepared by using the 'Indirect Method', as stipulated in Sri Lanka Accounting Standard - LKAS 7 'Statement of Cash Flows', whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows. Cash and cash equivalents comprise short term highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The Cash and cash equivalent include cash in hand, balances with banks, placements with banks money at call and short notice.

2.10 Changes in accounting policies

The group has consistently applied accounting policies as set out in Note 6 to Note 54 to all periods presented in the financial statements.

2.11 Use of Significant Accounting Judgments, Estimates and Assumptions

In preparing Financial Statements of the Group in conformity with Sri Lanka Accounting Standards (SLFRSs and LKASs), requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Due to the inherent uncertainty involved with estimates, actual results may differ from these estimates.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

Use of Significant Accounting Judgments, Estimates and Assumptions (Continued.)

The group considered the impact of current economic crisis of the country in preparing the financial statement in line with the circulars and guidelines issued by CBSL and CA Sri Lanka. While the specific areas, judgements may not change, the impact of economic crisis resulted in application of further judgement within those areas due to the limited recent experience of economic and financial impacts of such events.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments, estimates and assumptions in applying accounting policies that could have a significant effect on the Financial Statements of the Group are as follows:

2.11.1 Going concern

The Board of Directors has made an assessment of the Group's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future and, do not foresee a need for liquidation or cessation of business, taking into account all available information about the future.

In assessing the appropriateness of the use of going concern assumption, Board of Directors have considered the effects of the ongoing economic crisis on the Company's operations. Although it is expected that the business will have to absorb losses that would arise from deteriorating credit, increasing unemployment, declines in demand for credit, disruptions to the business due to shortages on fuel, materials etc in the medium term, effects of the economic downturn is largely dependent on the time and duration the country takes to revive. Having understood the same, the company has taken steps to remain focused on asset backed lending, applying strict credit guidelines to minimize credit risk and having adequate buffers on liquidity, continuous monitoring on the portfolio and cash flow positions of the Company and cost rationalizations where possible towards mitigating this risk. Based on these proactive analyses and the Company's operating model, the management is confident that the company has no impact on its business continuity and expects to manage the above challenges effectively.

2.11.2 Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities which recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Group measures fair value using the fair value hierarchy that reflects the significant of input used in making measurements. The valuation of financial instruments is described in more detail in Note 52.



Fair value of financial instruments (Continued.)

The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is given in Note 52. Determination of the fair value of financial instruments of the Group was impacted by the current economic situation of the country.

2.11.3 Impairment losses on loans and receivables

The measurement of impairment losses across the categories of financial assets under Sri Lanka Accounting Standard – SLFRS 9 on “Financial Instruments” (SLFRS 9) requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses.

Accordingly, the Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statements of Profit & Loss. In particular, the Management’s judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. In estimating these cash flows, Management makes judgements about a borrower’s financial situation and the net realisable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows considered recoverable. These estimates are based on assumptions about a number of factors and hence actual results may differ, resulting in future changes to the impairment allowance made.

A collective impairment provision is established for:

- Groups of homogeneous loans and advances that are not considered individually significant; and
- Groups of assets that are individually significant but that were not found to be individually impaired.

As per SLFRS 9, the Group’s Expected Credit Loss (ECL) calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL model that are considered accounting judgements and estimates include:

- The Group’s criteria for qualitatively assessing whether there has been a significant increase in credit risk and if so allowances for financial assets measured on a Life time expected credit loss (LTECL) basis;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various statistical formulas and the choice of inputs;
- Determination of associations between macro-economic inputs, such as GDP growth, inflation, interest rates and unemployment and the effect on Probability of Default (PDs), Exposure At Default (EAD) and Loss Given Default (LGD);
- Selection of forward-looking macro-economic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It has been the Group’s policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under note 4.5.7 to the Financial Statements.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

2.11.4 Impairment of non-financial assets

The Group assess at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets, an assessment is made at each reporting date as to whether there are any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss.

2.11.5 Classification of financial assets and liabilities

The Group's accounting policies provide scope for assets and liabilities to be classified, at inception into different accounting categories. The classification of financial instruments is given in Note 20, 'Analysis of Financial Instruments by Measurement Basis'.

2.11.6 Leases

At inception of a contract, the Group assesses whether the contract is, or contains a lease. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from use of asset throughout the period of use; and



2.11.6 Leases (Continued.)

- The Group has right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;
- The Group has the right to operate the asset; or
- The Group designed the asset in a way that predetermines how and for what purpose it will be used.

As a Lessee

Under SLFRS 16, The Group determines whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, and the Group's incremental borrowing rate.

The lessee shall measure that lease liability at the present value of the lease payments, discounted using the Company's cost of fund rate at the date of initial application date.

The Group recognises as right-of-use asset at the date of initial application for leases. The Group selected to measure the right-of-use asset at an amount equal to the lease liability, on a lease-by-lease basis, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the Statement of Financial Position immediately before the date of initial application.

The Group used a number of practical expedients when applying SLFRS. In particular, the Group:

- did not recognize right-of-use assets and liabilities for leases for which the lease term ends within 12 months.
- did not recognize right-of-use assets and liabilities for leases of low-value assets
- excluded initial direct costs from measuring the right-of-use asset at the date of initial application
- Applied a single discount rate to a portfolio of leases with similar characteristics
- Used hindsight when determining the lease term if the contact contains option to extend or terminate the lease

The Group presents right-of-use assets and lease liabilities separately in the Statement of Financial Position.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

2.11.6 Leases (Continued.)

The right of use asset is subsequently depreciated using straight line basis starting from the lease commencement date to the end of the use full life of the right of use asset or the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

Lease liability subsequently measured at amortized cost using the effective interest rate. Further the rent payment are subject to the changes when there is a termination of lease agreement, extension or exercise of a purchase. When the lease liability re-measured in this regards the corresponding adjustment made to the Right of use asset.

The Group demonstrate the Right of use Assets and Operating Lease liabilities under the Note 35 respectively.

Taxation

The Group is subject to income taxes and other taxes including VAT on financial services. Significant judgement was required to determine the total provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the Financial Statements and the taxable profit for the purpose of imposition of taxes.

The Group recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income, deferred and tax amounts in the period in which the determination is made. Details relating to taxation is described the Note 16.

Company is liable to pay Crop Insurance Levy as per the section 14 of Finance Act No: 12 of 2013, 1% from the profit after tax.

2.11.8 Deferred tax assets and liabilities

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against such tax losses which can be set-off. Judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits, together with the future tax-planning strategies. Deferred tax asset and deferred tax liability details are present in the Note 43.



2.11.9 Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates etc.

Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Group. Details of the assumptions used in the valuation are described in the Note 43.

2.11.10 Revaluation of property and equipment

The Group measures land and buildings at revalued amounts with changes in fair value being recognised in Equity through Other Comprehensive Income (OCI). The Group engages independent professional valuers to assess fair value of land and buildings in terms of Sri Lanka Accounting Standard – SLFRS 13 on “Fair Value Measurement” (SLFRS 13). The Group has revalued its freehold lands and buildings during this year for consolidated accounting purposes, the details relevant to the revaluation of freehold land and buildings, including valuation method are given in the Note 33.

2.11.11 Useful life-time of the property and equipment

The Group review the residual values, useful lives and methods of depreciation of assets at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. This is further described in the Note 4.6.2.

2.11.12 Classification and valuation of investment property

Management requires using its judgements to determine whether a property qualifies as an Investment Property. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Group are accounted for as investment properties. Fair valuation of the investment property is ascertained by independent valuations carried out by Chartered valuation surveyor, who has recent experience in valuing properties of similar location and category. They have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The key assumptions used to determine the fair value of investment property are provided in detail in Note 32.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the Year ended 31st March 2022

2.11.13 Commitment and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless its occurrence is remote. All discernible risks are accounted for in determining the amount of all known liabilities. Details of commitments and contingencies are given in Note 48.

2.12 Events after the Reporting Period

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in Note 49 where necessary.

3 NEW ACCOUNTING STANDARDS ISSUED DURING THE YEAR/CHANGES TO ALREADY EXISTING ACCOUNTING STANDARDS

The amendments to Sri Lanka Accounting Standard - SLFRS 16 (Leases): COVID-19 Related Rent Concessions, did not have a material impact on the Consolidated / Separate Financial Statements of the Group.

Apart from the above there were no new accounting standards/amendments to existing accounting standards that became effective during the year. The Group has applied all relevant accounting standards which have been issued up to 31st March 2022 in the preparation of the Financial Statements for the year ended 31st March 2022.



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4 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Group in preparation of the Financial Statements are included below. The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the Group, unless otherwise indicated.

4.1 Basis of Consolidation

The Group's Financial Statements comprise, Consolidated Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard – SLFRS 10 on “Consolidated Financial Statements” (SLFRS 10) and the proportionate share of the profit or loss and net assets of its Associates in terms of the Sri Lanka Accounting Standard – LKAS 28 on “Investments in Associates and Joint Ventures” (LKAS 28).

4.1.1 Subsidiaries

Subsidiaries are those enterprises controlled by the Company. Control exists when the Company (the Parent) holds more than 50% of the voting rights and/or has the power, directly or indirectly, to govern the financial and operational policies of an enterprise to obtain benefits from its activities.

The Financial Statements of Subsidiaries are fully consolidated from the date on which control is transferred to the Company and continue to be consolidated until the date when such control ceases.

Currently, the Financial Statements of the subsidiary in the Group have a common financial year which ends on March, 31.

The cost of an acquisition is measured at fair value of the consideration, including contingent consideration, given on the date of transferring the title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement the Company continues to recognize the investments in Subsidiaries at cost.

The total assets and liabilities of the Subsidiaries as at the reporting date are included in the Group column of Statements of Financial Position. The total Profit or Loss for the year of the subsidiaries is included in the Group column of Statements of Profit or Loss.

The non-controlling interest is presented in the Group column of Statements of Financial Position within equity; separately from the equity attributable to the equity holders of the Company. Non-controlling interest in the Profit or Loss of the Group is disclosed in the Group column of Statement of Comprehensive Income. Total Comprehensive Income is allocated to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Where subsidiaries have been acquired or sold during the year, their operating results have been included from the date of acquisition or to the date of disposal.



4.1.1 Subsidiaries (Continued.)

Upon the loss of control, the Group derecognized the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in the Statement of Changes in Equity. If the group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

4.1.2 Associates and Jointly control entities

Associates

Associates are those entities which the Group has significant influence, but not control or power to govern the financial and operating policies of the entities so as to obtain benefits from their activities.

The Group Financial Statements include the Group's share of the total recognized gains and losses of associates on an equity accounted basis from the date that significant influence commences until the date that significant influence ceases.

Accordingly, under the equity method, investment in associates are carried at cost plus post-acquisition changes in the Group's share of net assets of the associates and are reported as a separate line item in the Statement of Financial Position. The Statement of Profit or Loss reflects the share of current year's Profit or Loss of the Associates.

When the Group and Associate's share of losses exceed the carrying amount of the associate, the carrying amount is reduced to nil and recognition of further losses are discontinued except to the extent that the Group has incurred obligations or has made payments on behalf of the investee.

4.1.3 Jointly controlled entities

Jointly controlled entities are those entities where the Group has entered into a contractual agreement to share the control over strategic, financial and operating decisions relating to economic activities of the entities through unanimous consent of other parties sharing control.

4.1.4 Loss of Control in Subsidiary and Associates

Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in the Statement of Profit or Loss.



4.2 Transactions eliminated on consolidation

Intra-group balances and any income and expenses arising from intra- group transactions are eliminated in preparing the Consolidated Financial Statements. Unrealized losses are eliminated in the same way as unrealized gains (except that they are only eliminated to the extent that there is no evidence of impairment).

4.3 Foreign Currency Transactions and Balances

Foreign currency transactions are translated in to functional currencies, which is Sri Lankan rupees, using the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies have been translated into local currency as per the exchange ruling at the date of the Statement of Financial Position while all non-monetary items are reported at the rate prevailing at the time transactions were affected. The financial currency gain or loss on monetary items is the difference between amortized cost in functional currency as at the beginning of the year adjusted for effective interest and payments during the year and amortized cost in foreign currency translated at exchange rates at reporting date.

Non- monetary assets and liabilities denominated in foreign currencies that are measured at fair value are translated into functional currency at the spot exchange rate at the date that the fair value was determined. Non- monetary items that are measured in terms of historical cost in a foreign currency are translated using exchange rate at the date of transactions.

Foreign currency differences arising on translation are generally recognised in profit or loss. However, foreign currency differences arising from the translation of the following items are recognised in OCI:

- Equity instruments measured at fair value through other comprehensive income
- A financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective; and
- Qualifying cash flow hedges to the extent that the hedge is effective.

4.4 Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand, balances with banks and money at call & short notice.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

They are brought to Financial Statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the Statement of Financial Position.



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4.5 Financial Instruments – Initial recognition, classification and subsequent measurement

4.5.1 Date of recognition

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognizes balances due to customers when funds are transferred to the Group.

4.5.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at Fair Value through Profit or Loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through Profit or Loss are dealt through the Statement of Profit or Loss.

4.5.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group immediately recognises the difference between the transaction price and fair value (a 'Day 1' Profit or Loss) in 'Net trading income'.

4.5.3 Financial Assets and Liabilities

Group only measures loans and advances to customers and other financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.



4.5.3.1 (a) Business Model Assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

4.5.3.1 (b) The SPPI Test

As a second step of its classification process the Group assesses the contractual terms of the financial assets to identify whether they meet the SPPI test. "Principal" for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount). The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

4.5.3.2 Fair Value Measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.



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4.5.3.2 Fair Value Measurement (Continued.)

When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 01 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction. The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 01 valuation) nor based on a valuation technique that uses only data from observable markets (Level 02 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price.

Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Group entity and the counterparty where appropriate.

Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Group believes a third-party market participant would take them into account in pricing a transaction. The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid. A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

a) Financial Assets at Amortised Cost

Financial assets measured at amortised cost A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

1. The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
2. The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.



4.5.3.2 Fair Value Measurement (Continued.)

a) Financial Assets at Amortised Cost (Continued.)

Loans and advances to banks and other customers

Loans and advances to other customers include amounts due from banks, loans and advances and lease receivables of the Group. Details of "Loans and advances to banks and other customers" are given in Notes 23, 24 and 25.

Repurchase Agreements

Securities purchased under agreements to resell at a specified future date are recognised in the Statement of Financial Position. The consideration paid including accrued interest, is recorded in the Statement of Financial Position, under 'Other Financial Assets which reflects the transaction's economic substance as a loan by the Group.

Cash and cash equivalents

Details of "Cash and cash equivalents" are given in Note 21.

b) Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income. For financial assets measured at FVOCI refer Note 26.

Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and selling financial assets, where the asset's contractual cash flows represent payments that are solely payments of principal and interest on principal outstanding. Currently Company has no any debt instruments which are measured at FVTOCI.

Equity instruments designated at FVOCI

Upon initial recognition, the Group elects to classify irrevocably some of its equity instruments held for strategic and regulatory purposes as equity instruments at FVOCI.

c) Financial assets measured at FVTPL

All financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets measured at FVTPL include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.



4.5.3.2 Fair Value Measurement (Continued.)

Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rate, credit risk and indices. Derivatives are categorised as trading unless they are designated as hedging instruments.

All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains recognised in Statement of Profit or Loss (except where cash flow or net investment hedging has been achieved, in which case the effective portion of changes in fair value is recognised within other comprehensive income). Fair values may be obtained from quoted market prices in an active markets, recent market transactions and valuation techniques, including discounted cash flow models and option pricing models as appropriate, where the initially recognised fair value of a derivative contract is based on a valuation model that uses the inputs that are not observable in the market, it follows the same initial recognition accounting policy as for other financial assets and liabilities. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Certain derivatives embedded in other financial instruments such as the conversion option in a convertible bond holds, are valued as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract and the host contract is not carried at fair value through Profit or Loss. These embedded derivatives are measured at fair value with changes in fair value recognised in the Statement of Profit or Loss. Embedded derivatives continue to be presented with the host contract and are not separately disclosed or included within derivatives. The group did not have separate embedded derivatives as at 31st March 2022.

4.5.3.3 Reclassification of financial assets

The Group does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Group may acquire, dispose of, or terminates a business line (change in business model). When the Group reclassifies its financial assets it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains, losses (including impairment gains or losses) or interest. Financial liabilities are never reclassified.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount.



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4.5.3.3 Reclassification of financial assets (Continued.)

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date as if it had always been measured at amortised cost. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the fair value through other comprehensive income measurement category, the financial asset continues to be measured at fair value.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the fair value through profit or loss measurement category, the financial asset continues to be measured at fair value. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

The Group did not reclassify any of its financial assets as at 31st March 2022.

4.5.4 Derecognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired;
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - The Group has transferred substantially all the risks and rewards of the asset; or
 - The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.



4.5.4 Derecognition of financial assets (Continued.)

On derecognition of a financial asset, the difference between the carrying amounts of the asset and consideration received and any cumulative gain or loss that had been recognised in the Other Comprehensive Income is recognised in the Profit or Loss. When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

4.5.5 Financial Liabilities

4.5.5.1 Initial recognition and measurement

As per SLFRS 9, the Group classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category as –
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

4.5.5.1.1 Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at FVTPL include financial liabilities held-for-trading and financial liabilities designated as such upon initial recognition as at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in the Statement of Profit or Loss.

Upon initial recognition, transaction costs are directly attributable to the acquisition, are recognized in Statement of Profit or Loss as incurred. The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL.

Changes in fair value are recorded in "Net fair value gains/ (losses) from financial instruments at fair value through profit or loss" with the exception of movements in fair value of liabilities designated at FVTPL due to changes in the Companies' own credit risk. Interest paid/payable is accrued in "Interest expense", using the EIR. The Group has not designated any financial liabilities as at fair value through profit or loss as at the end of the reporting period.



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4.5.5.1.2 Financial liabilities at amortized cost

Financial liabilities issued by the Group that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to depositors" "Other borrowings" as appropriate, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares. The Group classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in "Interest expense" in the Statement of Profit & Loss. Gains and losses too are recognised in the Statement of Profit & Loss when the liabilities are derecognised as well as through the EIR amortisation process.

4.5.5.2 Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid are recognised in Statement of Profit or Loss.

4.5.5.3 Reclassification of financial liabilities

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

4.5.6 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position only when the Group has a legal right to set-off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKASs/SLFRSs or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.



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4.5.7 Impairment of financial assets

Overview of the ECL principles

SLFRS 9 presents a “three-stage” model for estimating expected losses on the basis of changes in credit quality since initial recognition.

Stage 1: When loans are originated, the Group recognises an allowance based on 12 months ECL and performed assessment collectively. Stage 1 loans also contain the facilities which are reclassified from Stage 2 since the credit risk has improved.

Stage 2: When a loan credit risk increases significantly, the Group records an allowance for the Life Time Expected Credit Loss (LTECL), which performed collective basis. Stage 2 loans also include facilities, which are reclassified from stage 3 since the credit risk has improved.

Stage 3: When a loan is considered to be credit impaired, contain objective evidences of incurred loss, the Group records an allowance for the LTECL. Stage 3 assessment performed either individually or collectively.

Under SLFRS 9, loss allowances measured on either of the following bases:

- 12 month ECLs: these are ECLs that result from possible default events within the 12 months after the reporting date; and
- Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

Lifetime ECL measurement applies if the credit risk of a financial asset at the reporting date has increased significantly since initial recognition. Twelve months ECL measurement applies if it has not increased an entity may determine that a financial asset's credit risk has not increased significantly if the asset has low credit risk at the reporting date. However, lifetime ECL measurement always applies for trade receivables and contract assets without a significant financing component.

Based on the computations:

- The Group believes that impairment losses are likely to increase and become more volatile for assets in the scope of the SLFRS 9 impairment model.
- The estimated ECLs were calculated based on actual credit loss experience over the past five years.
- The Group performed the calculation of ECL rates separately for each product types.

Exposures within each group were segmented based on common credit risk characteristics such as product type, delinquency status, age of relationship and type of product purchased.

The Group to be performed an assessment, at the end of each reporting period to identify whether a financial instrument's credit risk has increased significantly since initial recognition.



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4.5.6 Impairment of financial assets (Continued.)

Definition of default and cure

The Group considers a financial instrument as defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 180 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

It is the Group's policy to consider a financial instrument as "cured" and therefore reclassified out of Stage 3 when none of the default criteria have been present and the borrower is no longer considered as non performing in accordance with the Directives of the Central Bank.

Once cured, the decision whether to classify an asset as Stage 2 or Stage 1 largely depends on the days past due, at the time of the cure. The Group's criterion for 'cure' for rescheduled / restructured loans is more stringent than ordinary loans.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12m ECL or LTECL, the Group assesses whether there has been a significant increase in the credit risk since initial recognition. The Group considers an exposure to have a significantly increase in the credit risk when it is past due for more than 90 days.

Calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset.

Key elements of the ECL calculations are outlined below:

- **Probability of default (PD)**

Probability of default is computed using transition matrix for last five years and computed average matrix from year 1 to 5. To minimize the sum of squared errors between average matrix and empirical matrix for that year computed a credit index. Regress macro-economic/other variables to forecast future indexes.



4.5.7 Impairment of financial assets (Continued.)

- **Exposure at default computation (EAD)**

The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

- **Loss Given Default (LGD)**

The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Actual credit loss experience will be adjusted by scalar factors to reflect differences between economic conditions during the period over which the historical data was collected, current conditions and the Group's view of economic conditions over the expected lives of the receivables. Scalar factors were based on GDP and unemployment rate forecasts and industry outlook.

Calculation of ECLs for Individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired (Not in stage 3), it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. The impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The amount and timing of expected receipts and recoveries;
- The realisable value of security (or other credit mitigants) and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;



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4.5.7 Impairment of financial assets (Continued.)

Grouping financial assets measured on collective basis

The Group calculates ECLs either on a collective or an individual basis. The Group categorise the collective impairment exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower

The PD estimation Process

PD estimation for loans and advances to other customers under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most Companies in the country at present.

Accordingly, exposures are categorised among 8 groups based on the DPD as follows.

- Zero days past due
- 1 – 30 days past due
- 31 – 60 days past due
- 61 – 90 days past due
- 91-120 days past due
- 121 – 150 days past due
- 151 – 180 days past due
- Above 180 days past due

Exposure at Default

The exposure at default (EAD) represents the gross carrying amount of the financial instrument subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months. However, if a Stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are taken into account. For Stage 2 and stage 3 financial assets and credit impaired assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

4.5.7 Impairment of financial assets (Continued.)

Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD,

- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against lease receivables

These LGD rates take into account the expected EAD in comparison to the amount expected to be recovered or realised from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

Forward looking information

In its ECL models, the Group relies on a broad range of forward looking information as economic inputs, such as:

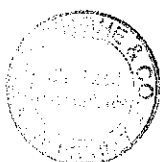
- GDP growth
- Unemployment rates
- Interest rates
- Treasury bill rate
- Inflation rate

The inputs and models used for calculating ECL may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material. To ensure completeness and accuracy, the Group obtains the above data from third party sources (Central Bank, World Bank, IMF, ADB, UN and etc).

To reflect these uncertainties in the calculation of expected credit losses, the Group also revisited the weightages assigned for multiple economic scenarios during the year. Weightages assigned for each scenario is given below along with the weightages used in 2021/22.

	2021/22	2020/21
Base Case	50%	60%
Best Case	5%	7%
Worst Case	45%	33%

During the financial year the Company made significant amount of additional provisions by way of Management overlays along with modelled impairment provisions to reflect current economic downturn and its effect on ECL provisions.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

4.5.7 Impairment of financial assets (Continued.)

Write-off of loan & advances, leases and hire purchases

Loans, advances, leases and hire purchases (the related impairment allowance was accounted) are normally written off, either partially or in full, when there are no realistic prospects of recovery. Where such balances are secured, these are generally after receipt of any proceeds from the realisation of security.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, gold, real estate, receivables, and other non-financial assets. The fair value of the collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

Collateral repossessed

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

Material Judgments and uncertainties

Company has made significant judgment as at period end to determine which events and circumstances relate and which do not. Typically, the shorter the period of time between period end and the information becoming available (e.g. a borrower defaulting on a loan shortly after period end), the more likely it is that the information confirms events and conditions as at period end, and therefore, ought to be reflected in ECL calculations.

A movement from stage 1 to either stage 2 or 3 will typically result in a higher ECL, as the probability of default ('PD') over the lifetime of a financial asset will be at least equal to or higher than the PD over the next 12 months. However, the assessment of whether there has been a significant increase in credit risk (SICR) for a financial asset is carried out on the basis of the expected life of the financial asset.



4.5.7 Impairment of financial assets (Continued.)

Forward Looking and Probability of Default

IFRS 9 recognizes that information relevance decreases as the forecast horizon increases and emphasizes the relevance of historical information. In this regard, the IFRS 9 provisions lead to the conclusion that where there is no reliable evidence for specific forecasts, long-term macroeconomic outlooks will provide the most relevant basis for estimation. And further, scenario based analysis has improved and Worst case has been given 45% of weighting when determine the forward looking and probability of default.

4.6 Non – Financial Asset

4.6.1 Investment Property

Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or both but not for sale in the ordinary course of business, based in the production or supply of goods or services or for administrative purposes. Investment properties are recognised if it is probable that future economic benefits that are associated with the investment property will flow to the Group and cost of the investment property can be reliably measured. Where the Group provides ancillary services to the occupants of a property it holds, the Group treats such a property as investment property if the services are insignificant to the arrangement as a whole.

If an owner-occupied property becomes an investment property that will be carried at fair value, an entity shall apply LKAS 16 "Property, plant and equipment" up to the date of change in use. When the use of property changes from owner-occupied to investment property, the property is remeasured to fair value and classified as Investment Property. The entity shall treat any difference at that date between the carrying amount of the property in accordance with LKAS 16 "Property, plant and equipment" and its fair value in the same way as a revaluation in accordance with LKAS 16 "Property, plant and equipment". The land is non-depreciated. Accordingly, land and building classified as investment properties are stated at fair value.

De-recognition

Investment properties are de-recognised when disposed of, or permanently withdrawn from the use since no future economic benefits are expected. Gains or losses arising from de-recognition of an investment property are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

4.6.2 Property, plant and equipment

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially Property, Plant & Equipment are measured at its cost.

Recognition and measurement

Cost Model

Property, Plant and Equipment is stated at cost except land and building, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Revaluation Model

Land and buildings are measured at fair value, less depreciation on buildings and impairment charged subsequent to the date of the revaluation. Valuations are performed every 3 to 5 years to ensure that the fair value of revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is credited to the Revaluation Reserve included in the Equity of the Statement of Financial Position except to the extent that it reverses a revaluation decrease of the same asset previously recognised in Statement of Profit or Loss. In which case the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss except that a deficit directly offsetting a previous surplus on the same asset is directly offset against the surplus in the asset Revaluation Reserve. For more details relating to the land and building valuation refer the Note 33.

Subsequent Cost

These are costs that are recognised in the carrying amount of an asset if it is probable that the future economic benefits embodied within that part of the cost will flow to the Group and it can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognised in Profit or Loss as incurred.

Depreciation

The company has reassessed useful life time and changed the depreciation policy from reducing balance to the straight line method from 1st April 2016, further company has applied this changes accordance with LKAS 8-“Accounting Policies and Change in Accounting Estimates and Errors”.

The group provides depreciation from the date the assets are available for use and up to the date of disposal at the following rates on straight line basis over the periods appropriate to the estimated useful lives based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group.



Alliance Finance Company PLC**NOTES TO THE FINANCIAL STATEMENTS**

For the Year ended 31st March 2022

4.6.2 Property, plant and equipment (Continued.)**Depreciation (Continued.)**

Category of Asset	Expected useful life time (in years)
Building	20
Office Equipment	5
Plant & Machinery	5
Furniture & Fittings	8
Cutlery & Crockery	5
Motor Vehicles	5
Computers	3

Freehold lands are not depreciated. Depreciation of an asset ceases at the earlier of the date that the asset is classified as Held for Sale or the date that the asset is derecognised.

Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

Derecognition

Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other Operating Income' in the Statement of Profit or Loss in the year the asset is derecognised.

4.6.3 Intangible assets

The Group's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standards LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Intangible assets are stated in the Statement of Financial Position at cost less accumulated amortisation and accumulated impairment losses, if any.



4.6.3 Intangible assets (Continued.)

Expenditure of internally developed software is recognised as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits and can be reliably measured the costs to complete the development.

Subsequent expenditure

Subsequent expenditure on Intangible Assets is capitalised only when it increases the future economic benefits embedded in the specific asset to which it relates. All other expenditures are expensed as incurred.

Amortisation

Group owned intangible assets are amortised over the period of 10 years unless otherwise stated.

Derecognition of intangible assets

The carrying amount of an item of an intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset, is included in the Statement of Profit or Loss when the item is derecognised.

There were no restrictions on the title of the intangible assets as at the reporting date. Further there were no items pledged as securities for liabilities.

Intangible assets reported in note 34 only included computer software and cost of licences.

The Group is in the process of implementing new system to replace its core banking system. The development cost incurred up to 31st March 2022, was presented as an addition to the intangible assets (WIP).

4.7 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made for the amount of the obligation. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date after taking in to account the risks and uncertainties surrounding the obligation as at that date. The expense relating to any provision, is presented in the Statement of Profit or Loss net of any reimbursement.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

4.7.1 Retirement Benefit Obligations

All the employees of the Group are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983. Employees those who have resigned or whose services are terminated other than by retirement are eligible to receive the terminal gratuity under the Payment of Gratuity Act No. 12 of 1983 at the rate of half of the gross salary applicable to the last month of the financial year in which the employment is terminated or resigned for each year of completed service, for those who have served in excess of 5 years.

The Group operates an approved non-contributory Gratuity Fund to facilitate the Gratuity payments to the retiring employees of the Group. The Group determines the adequacy of gratuity liability in terms of Payment of Gratuity Act No.12 of 1983. In order to meet this liability, the Group carries forward a provision in the Statement of Financial Position based on:

- Half a month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have complete service 5 to 10 years,
- One month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who completed the service over 10 years but not exceeding 15 years,
- One and half month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 15 years but not exceeding 25 years.
- Two months' salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 25 years.

An actuarial valuation is carried out as every year end to ascertain the full liability under gratuity. The valuation was carried out as at 31st March 2022 by M/s Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries based on the Projected Unit Credit Method recommended by the actuarial present value of the defined benefit obligation (PV-DBO) under the PUC method.

Recognition of actuarial losses / gains

The Group recognized the total actuarial gain and losses that arose in calculating the Group's obligation in respect of gratuity in Other Comprehensive Income during the period which it occurred.

Recognition of past service cost (applicable only when a plan has been changed)

Past service cost are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the instruction of, or changes to the plan, past service costs are recognized immediately.



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Year ended 31st March 2022

4.7.1 Retirement Benefit Obligations (Continued.)

Management of the fund's assets

The assets of the Gratuity Fund and the Employees' Provident Fund are held separately from those of the Group and are independently administered by a separate management team appointed by the Group. As at 31st March 2022 fair value of plan assets is Rs. 356,598,097/- (2021-Rs. 341,535,006/-).

4.7.2 Taxation

As per the Sri Lanka Accounting Standard – LKAS 12 on 'Income Taxes' tax expense (Tax income) is the aggregate amount included in determination of Profit or Loss for the period in respect of current and deferred taxes. Income tax expense is recognised in the Statement of Profit or Loss except to the extent it relates to items recognised directly in Equity or in Other Comprehensive Income (OCI), in which case it is recognised in the Statement of Changes in Equity or in OCI.

4.7.2.1 Current taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the end of the reporting period. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for the taxation purpose in accordance with the provisions of the Inland Revenue Act No. 27 of 2017 and the amendments thereto.

4.7.2.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences carrying forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profits will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised. The carrying amount of a deferred tax asset is reviewed at end of the reporting period and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax assets are reassessed at the end of the reporting period and are recognised to the extent that it is probable that the future taxable profit will allow the deferred tax asset to be recovered. Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at end of the reporting period.



Alliance Finance Company PLC
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For the Year ended 31st March 2022

4.7.2.2 Deferred tax (Continued.)

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

4.7.2.3 Value Added Tax on Financial Services (FVAT)

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto. The value base for the computation of Value Added Tax on Financial Services is calculated by adjusting the depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before Income Tax and emoluments payable.

4.7.2.4 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No.12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently CIL is payable at 1% of the profit after tax.

4.7.2.5 Withholding Tax on Dividends

Dividend distributed out of taxable profit of the subsidiaries attracts WHT at source and is not available to set off against the tax liability of the Company. Thus, the WHT deducted at source, on the dividends distributed by the subsidiaries is charged to the Consolidated Statement of Profit or Loss as a consolidation adjustment.

Withholding tax that arises from the distribution of dividends by the Group is recognised at the time of the liability is payable.

4.8 Recognition of Income

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the Year ended 31st March 2022

4.8.1 Net Interest income

Interest income and expense are recognised in the Statement of Profit or Loss using the effective interest rate (EIR) method. Interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortised cost (AC) calculated using EIR method;
- Interest on financial assets measured at fair value through other comprehensive income (FVOCI) calculated using EIR method;
- Interest on financial assets measured at fair value through profit or loss (FVTPL) calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective interest rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- The gross carrying amount of the financial asset; or
- The amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs.

The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

4.8.2 Net Fee and Commission Income

Service Income

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

Fee and Commission Income

The Group earns fee and commission income from a diverse range of services, it provides to its customers. Fee and commission income relates mainly to transactions and services fees which are charged from customers to provide relevant financial services. It mainly include CRIB verification charges, Yard fees, Loan processing fees and vehicles transfer fees, income account on cash basis.



Alliance Finance Company PLC
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For the Year ended 31st March 2022

Fee and Commission Expense

Fee and commission expense mainly relates to transactions and services fees which are expensed to third parties on behalf of customers. These expenses mainly includes RMV expenses, brokerage and Insurance expenses. Fee and commission expenses are recognised on an accrual basis.

Fee & Commission expenses collected from customers by way of capitalisation are released to income statement on EIR method.

4.8.3 Dividend Income

Dividend income is recognised when the right to receive the payment is established. Usually, this is the ex-dividend date for equity securities. Dividends are presented in the 'Other Operating Income' in Statement of Profit or Loss.

4.8.4 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities recognized through Profit or Loss other than interest income.

4.8.5 Other Operating Income

Income earned on other sources, which are not directly related to the normal operations of the Group is recognised as Other Operating Income on an accrual basis.

The Profit/(Loss) on Disposal of Property, Plant and Equipment is determined as the difference between the carrying amount of the assets at the time of disposal and the proceeds of disposal, net of incremental disposal costs. This is recognised as an item of Other Operating Income in the financial year in which significant risks and rewards of ownership are transferred to the buyer.

4.8.6 Personal Expenses

Personnel Expenses include salaries and bonus, terminal benefits and other staff- related expenses. The provision for bonus is recognised when it is probable that an outflow of resource embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the Year ended 31st March 2022

Defined Contributions Plans - Employees' provident fund (EPF) and Employees' trust fund (ETF)

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions in to a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense when they become due. Unpaid contributions are recorded as a liability.

The Parent company and employees contribute 20% and 10% respectively of the employee's monthly gross salary to the Employees' Provident Fund. The subsidiary company and employee's contribute 12% and 8% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The Group operates an approved private fund to manage EPF and managed by the committee of management.

The Group contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

4.8.7 Other operating expenses

Other operating expenses are recognised in the Statement of Profit or Loss on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Income Statement in arriving at the profit for the year

4.9 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Group's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Group.

4.10 Earnings per Share

The Group presents basic Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.



4.11 Operating Segments

A business segment is a distinguishable component of the Group, engaged in providing products or services subject to risks and returns that are different from those of other business segments. Operating results of those segments are reviewed regularly by the Board of Directors to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

The primary business format is based on the core business activities of the Group, namely, lease, loans, pawning, hiring of vehicles, investing in shares, investing in government securities, collaboration finance & others. The management uses its judgment in determining the compositions of these core business activities by taking into account the objective of reporting financial information by segment as set forth in Sri Lanka Accounting Standard, SLFRS 8 "Operating Segments", segment reporting and qualitative characteristics of financial statements as identified in the Framework for the Preparation and Presentation of Financial Statements.

The Group's business activities are carried out in Sri Lanka. Consequently, the economic environment in which the Group operates in, is not subject to risk and returns that are significantly deferent on a geographical basis. Hence, disclosure by geographical region has not been provided. For the purpose of segment reporting disclosures, the information presented in respect of the Group's business segments is based on the Group's management and internal reporting structure.

Income recognised in segments is an income which is directly identified and reported in those segments and expenses directly identified to a particular segment are charged accordingly and expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period. Unallocated items mainly comprise of head office expenses. Measurement of segments assets, liabilities, segment revenue and results are based on the group accounting policies. Segments revenue, results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segments assets that are expected to be used for more than one accounting period.



5 NEW ACCOUNTING STANDARDS ISSUED BUT NOT YET APPLICABLE AS AT 31ST MARCH 2022

The Institute of Chartered Accountants of Sri Lanka has issued the following new Sri Lanka Accounting Standards (SLFRSs/ LKASs) which will become applicable for financial periods beginning after 1 April 2022. Accordingly, the Group has not applied the following new standards in preparing these Consolidated Financial Statements. The following amended standards are not expected to have a significant impact on the Group's Consolidated Financial Statements.

- Sri Lanka Accounting Standard – SLFRS 17 (Insurance Contracts) Consolidated/Separate Financial Statements of the Group is not expected to have a material impact from SLFRS -17 (Insurance Contracts).
- Sri Lanka Accounting Standard – SLFRS 03 The amendment intends to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements.
- Sri Lanka Accounting Standard – LKAS 37 Amendment specifies the costs that an entity needs to include when assessing whether a contract is onerous or loss-making.
- Sri Lanka Accounting Standard – LKAS 16 Amendment prohibits entities from deducting any proceeds from selling items produced, while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management, from the cost of an item of property, plant and equipment.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
6 GROSS INCOME				
Interest income (Note 7.1)	7,852,033,338	7,172,427,543	7,858,602,585	7,175,165,275
Fee & commission income (Note No. 8)	267,503,991	191,518,532	341,843,804	252,491,264
Net trading income (Note No 9)	28,124,476	17,262,743	28,604,778	17,262,743
Other operating income (Note No. 10)	549,801,944	418,254,456	547,651,174	418,254,456
	8,697,463,749	7,799,463,274	8,776,702,341	7,863,173,738
7 NET INTEREST INCOME				
7.1 Interest Income				
Financial assets- recognised through profit or loss	76,965,903	94,140,871	76,965,903	94,140,871
Loans and advances (Note No. 7.1.1)	1,961,110,912	1,324,799,571	1,961,110,912	1,324,799,571
Lease rentals receivable	5,866,509,497	5,640,314,789	5,866,509,497	5,640,314,789
Hire purchase & consumer durables	43,361	-	43,361	-
Repurchase agreements	7,711,482	12,744,542	7,711,482	12,744,542
Placements with banks & other financial institutions	49,144,777	91,526,967	55,714,024	94,264,699
Interest income accrued on impaired loans & receivables	(109,452,594)	8,900,803	(109,452,594)	8,900,803
Total interest income	7,852,033,338	7,172,427,543	7,858,602,585	7,175,165,275
7.1.1 Interest Income from Loans & Advances				
Interest income from loans	834,252,777	573,550,002	834,252,777	573,550,002
Interest income from pledge loan	29,124,628	90,377,656	29,124,628	90,377,656
Interest income from gold loan	1,059,862,417	638,922,370	1,059,862,417	638,922,370
Interest income from micro finance	37,871,090	21,949,543	37,871,090	21,949,543
	1,961,110,912	1,324,799,571	1,961,110,912	1,324,799,571
7.2 Interest Expenses				
Securitization borrowings	693,808,948	857,418,034	693,808,948	857,418,034
Bank borrowings	791,671,403	633,766,758	791,671,403	633,766,758
Bank overdraft	9,561,402	7,096,689	9,561,402	7,096,689
Due to depositors	1,211,366,877	1,313,363,152	1,211,366,877	1,313,363,152
Other financial liabilities (Note 7.2.1)	(55,227,591)	101,112,123	(55,227,591)	101,112,123
Total interest expenses	2,651,181,039	2,912,756,756	2,651,181,039	2,912,756,756
Net interest income	5,200,852,299	4,259,670,787	5,207,421,546	4,262,408,519
7.2.1 An amount of Rs. 84,373,428/- on a favorable SWAP arrangement is included in this amount.				
8 FEE AND COMMISSION INCOME				
8.1 Fees and Commission Income				
Commission income	-	-	74,339,813	60,972,732
Service charges	165,987,179	130,493,200	165,987,179	130,493,200
Transfer fees	53,056,250	49,689,424	53,056,250	49,689,424
Other fees	48,460,562	11,335,908	48,460,562	11,335,908
Total fee and commission income	267,503,991	191,518,532	341,843,804	252,491,264
8.2 Fee and Commission Expenses				
Brokerage	(165,330,102)	(179,525,687)	(165,330,102)	(179,525,687)
Credit related fees	(89,828,244)	(92,821,545)	(89,828,244)	(92,828,679)
Total fee and commission expenses	(255,158,346)	(272,347,232)	(255,158,346)	(272,354,366)
Net Fee and Commission Income	12,345,645	(80,828,700)	86,685,458	(19,863,102)



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
9 NET GAINS / (LOSSES) FROM TRADING				
Profit / (loss) on sale of foreign currencies	16,757,983	4,863,809	16,757,983	4,863,809
Income from trust investment	11,366,493	12,398,934	11,366,493	12,398,934
Profit From Disposal of Financial Instrument (Quoted)	-	-	480,302	-
	<u>28,124,476</u>	<u>17,262,743</u>	<u>28,604,778</u>	<u>17,262,743</u>
10 OTHER OPERATING INCOME				
Income from financial investment - Quoted shares	16,809,063	6,825,336	11,610,626	6,825,336
Fair value gain/(loss) on financial investments - FVTPL	275,394	(2,031,684)	275,394	(2,031,684)
Fair value gain / (loss) on treasury bonds	4,043	(4,222,979)	4,043	(4,222,979)
Profit/(loss) on disposal of property, plant & equipment	13,729,654	42,278,926	13,729,654	42,278,926
Profit/(loss) on disposal of investment property	67,140,000	-	67,140,000	-
Fair value gain on investment property	27,009,600	25,254,000	27,009,600	25,254,000
Profit on sale of vehicles	111,492,609	42,430,107	111,492,609	42,430,107
Rental income from hiring vehicles	29,451,970	26,156,190	29,451,970	26,156,190
Income from sale of tiles & furniture	4,490,517	5,010,436	4,490,517	5,010,436
Bad debt recoveries	78,415,916	47,407,290	78,415,916	47,407,290
Recovery of charges on settlements	169,827,842	192,685,632	169,827,842	192,685,632
Others	31,155,336	36,461,202	34,203,003	36,461,202
Total Other Operating Income	<u>549,801,944</u>	<u>418,254,456</u>	<u>547,651,174</u>	<u>418,254,456</u>
11 IMPAIRMENT CHARGES FOR LOANS AND OTHER LOSSES				
Impairment Charges / (Reversal)				
Lease rentals receivable	(170,635,323)	18,683,785	(170,635,323)	18,683,785
Hire purchase rentals receivable	(202,445)	(1,500,966)	(202,445)	(1,500,966)
Loans and advances (Note 11.1)	37,587,463	262,216,272	37,587,463	262,216,272
Impairment Charges / (Write Back) (Note 11.2)	<u>(133,250,305)</u>	<u>279,399,091</u>	<u>(133,250,305)</u>	<u>279,399,091</u>
Bad Debts Written off				
Lease rentals receivable	176,456,952	407,561,794	176,456,952	407,561,794
Hire purchase rentals receivable	-	1,283,574	-	1,283,574
Loans and advances (Note 11.1)	<u>59,683,537</u>	<u>63,881,590</u>	<u>59,683,537</u>	<u>63,881,590</u>
	<u>236,140,489</u>	<u>472,726,958</u>	<u>236,140,489</u>	<u>472,726,958</u>
	<u>102,890,184</u>	<u>752,126,049</u>	<u>102,890,184</u>	<u>752,126,049</u>
11.1 Impairment Charge on Loans and advances				
Term Loans Receivable	85,419,991	183,952,695	85,419,991	183,952,695
Gold Loan Receivable	(138,740,133)	125,607,365	(138,740,133)	125,607,365
Microfinance Receivable	74,869,008	(73,848,670)	74,869,008	(73,848,670)
Pledged loan & Speed Cash Loan Receivable	16,038,597	26,504,882	16,038,597	26,504,882
	<u>37,587,463</u>	<u>262,216,272</u>	<u>37,587,463</u>	<u>262,216,272</u>
Bad Debts Written off charge on Loans & Advances				
Term Loans Receivable	23,224,217	29,652,655	23,224,217	29,652,655
Micro Finance	25,956,186	-	25,956,186	-
Pledged loan & Speed Cash Loan Receivable	10,503,134	34,228,935	10,503,134	34,228,935
	<u>59,683,537</u>	<u>63,881,590</u>	<u>59,683,537</u>	<u>63,881,590</u>
11.2 Impairment Charge / (Reversal) to Income Statement				
IFRS 09 - Expected Credit Loss Charge for the Year				
	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Loans and advances - Collective impairment	169,659,090	(16,962,691)	(175,974,013)	(23,277,614)
- Individual impairment	-	-	60,865,077	60,865,077
Lease rentals receivable - Collective impairment	142,898,963	13,371,677	(244,407,354)	(88,136,714)
- Individual impairment	-	-	(82,498,609)	(82,498,609)
Hire purchase rentals - Individual impairment	-	-	(202,445)	(202,445)
	<u>312,558,053</u>	<u>(3,591,014)</u>	<u>(442,217,344)</u>	<u>(133,250,305)</u>



Alliance Finance Company PLC
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For the year ended 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
12 PERSONNEL EXPENSES				
Salaries and bonus	900,412,281	726,225,107	909,051,337	734,305,221
Gratuity charge for the year	43,803,310	31,822,498	44,423,948	32,594,083
Employer's contribution to EPF	135,413,627	112,332,100	136,302,022	113,140,965
Employer's contribution to ETF	20,312,044	16,849,815	20,534,143	17,052,031
Staff welfare	25,014,123	18,728,347	25,530,205	19,277,285
Other allowances & staff related expenses	68,048,843	17,896,959	68,048,843	17,896,959
	<u>1,193,004,228</u>	<u>923,854,826</u>	<u>1,203,890,498</u>	<u>934,266,544</u>
13 OTHER OPERATING EXPENSES				
Auditors' remuneration				
Audit fee	1,652,000	1,552,000	1,787,000	1,681,000
Non audit fees and expenses	290,500	182,000	355,500	243,000
Directors emoluments and other expenses (13.1)	90,124,700	73,408,644	91,724,700	75,008,644
Professional fees	13,990,138	11,764,045	14,052,138	11,764,045
Office administration & establishment expenses	447,589,920	421,246,675	449,615,370	423,220,163
Advertising & business promotion expenses	135,886,232	72,085,540	135,971,232	72,085,540
Motor vehicle running & maintenance	577,085,234	535,979,543	580,517,118	539,071,242
Others	188,614,387	88,194,517	188,614,387	88,194,517
	<u>1,455,233,111</u>	<u>1,204,412,964</u>	<u>1,462,637,445</u>	<u>1,211,268,151</u>
13.1 Directors emoluments and other expenses represent the fees, salaries, allowances and other expenses (except gratuity provision) of both Executive and Non-Executive Directors of the Company.				
14 DEPRECIATION AND AMORTIZATION				
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Depreciation of property, plant and equipment	116,431,961	123,282,161	116,816,283	123,387,757
Amortization of intangible assets	11,031,096	8,988,531	11,141,027	8,988,531
	<u>127,463,057</u>	<u>132,270,692</u>	<u>127,957,310</u>	<u>132,376,288</u>
15 TAXES ON FINANCIAL SERVICES				
Value added tax	554,549,356	307,871,498	554,549,356	307,871,498
	<u>554,549,356</u>	<u>307,871,498</u>	<u>554,549,356</u>	<u>307,871,498</u>
16 TAXATION				
Income Tax expense for the year (Note 16.1)	775,963,726	603,122,417	788,749,383	614,241,341
Provision for contingent tax liabilities	124,866,846	131,940,390	124,866,846	131,940,390
Total Income Tax expense for the year	<u>900,830,572</u>	<u>735,062,807</u>	<u>913,616,229</u>	<u>746,181,731</u>
16.1 The Major Components of Income Tax Expense				
Current Income Tax Expenses				
Current tax on profit for the year (Note No. 16.2)	858,531,644	564,646,012	871,394,908	575,951,624
Under/ (over) provision of current taxes in respect of prior years	-	26,249,355	-	26,249,355
	<u>858,531,644</u>	<u>590,895,367</u>	<u>871,394,908</u>	<u>602,200,979</u>
Deferred Tax Expenses				
Deferred taxation charge/ (reversal) (Note No. 16.4)	(82,567,918)	12,227,050	(82,645,525)	12,040,362
	<u>775,963,726</u>	<u>603,122,417</u>	<u>788,749,383</u>	<u>614,241,341</u>

Current year income tax expense of the Subsidiary Company is Rs. 16,625,358/-.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2022

- 16.2 A reconciliation between the tax expense and the accounting profit multiplied by relevant tax rate for the year ended 31 March is as follows;

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Accounting profit before income taxation	2,363,931,198	1,295,952,601	2,424,384,932	1,342,283,430
Total value of non deductible expenses	1,532,586,849	2,650,256,781	1,533,701,740	2,651,133,962
Total value of other allowable credits	(263,895,736)	(1,310,116,472)	(264,399,569)	(1,310,217,765)
Total value of exempt income	(130,763,967)	(99,583,300)	(135,199,402)	(99,583,300)
Total value of Tax losses claimable	(4,345,950)	(187,799,340)	(4,345,950)	(187,799,340)
	<u>3,497,512,394</u>	<u>2,348,710,270</u>	<u>3,554,141,751</u>	<u>2,395,816,987</u>
Income tax for the year @ 24%	839,402,975	563,690,465	852,994,020	574,996,077
Tax on Dividend income (@ 14%)	2,353,269	955,547	1,625,488	955,547
Capital gain tax on Investment Property Disposal	16,775,400	-	16,775,400	-
Total Income Tax for the year	<u>858,531,644</u>	<u>564,646,012</u>	<u>871,394,908</u>	<u>575,951,624</u>
Effective Tax rate (with defferd tax)	32.83%	44.51%		
Effective Tax rate (without defferd tax)	36.32%	43.57%		

When computing the effective tax rate has not included the income tax provision on contingent liabilities.

16.3 Applicable Income Tax Rates:

Alfinco Insurance Brokers (Pvt) Ltd	24%	24%
Macbertan (Pvt) Ltd	18%	18%

16.4 Deferred Tax Expense/(Reversal)

The following table shows deferred tax expense recorded in the profit or loss due to changes in the deferred tax assets and liabilities.

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liabilities				
Lease rentals	40,952,334	156,666,678	40,952,334	156,666,678
Accelerated depreciation - Own assets	4,167,640	(12,468,740)	4,175,028	(12,467,707)
	<u>45,119,974</u>	<u>144,197,938</u>	<u>45,127,362</u>	<u>144,198,971</u>
Deferred Tax Assets				
Accelerated depreciation - Own assets	(12,149,487)	(9,041,878)	(12,149,487)	(9,041,878)
Defined benefit obligation - Profit or Loss	(26,015,314)	(3,101,767)	(26,085,533)	(3,287,422)
Other temporary differences	716,857	168,568,633	716,857	168,568,633
	<u>(37,447,944)</u>	<u>156,424,988</u>	<u>(37,518,163)</u>	<u>156,239,333</u>
Total Deferred tax expense / (reversal)	<u>(82,567,918)</u>	<u>12,227,050</u>	<u>(82,645,525)</u>	<u>12,040,362</u>
Other Comprehensive Income				
Defined benefit obligation	(27,399,747)	(6,016,365)	(27,399,747)	(6,016,365)
Revaluation	-	169,770,965	-	169,770,965
Deferred tax expense adjusted through profit or loss / OCI	<u>(109,967,665)</u>	<u>175,981,650</u>	<u>(110,045,272)</u>	<u>175,794,962</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2022

17 EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

For the year ended 31 st March	Company 2022 Rs.	2021 Rs.	Group 2022 Rs.	2021 Rs.
Amounts Used as the Numerators:				
Net profit for the year attributable to equity shareholders for basic earnings per ordinary share	1,463,100,626	560,889,794	1,492,529,033	583,404,288
Number of Ordinary Shares Used as Denominators for Basic Earnings				
Weighted average number of ordinary shares in issue	33,696,000	33,696,000	33,696,000	33,696,000
Basic earnings per ordinary share (Rs.) (EPS)	43.42	16.65	44.29	17.31

The company diluted EPS is equal to the Basic Earning per Ordinary Share since the Company does not have any convertible securities as at the reporting date.

	Company 2022 Rs.	2021 Rs.	Group 2022 Rs.	2021 Rs.
18 DIVIDENDS				
18.1 Declared and Paid During the Year				
Dividends on ordinary shares:				
final dividend paid for 2021 Rs. 5.50/- per share	185,328,000	-	185,328,000	-
Interim dividend paid for 2022 Rs. 6.50/- per share	219,024,000	-	222,833,429	-
	404,352,000	-	408,161,429	-
Dividend Per Share (Rs.)	12.00	-	12.11	-

19 NET ASSETS VALUE PER ORDINARY SHARE

Amount used as the numerator

Total equity attributable to equity holders of the Company	6,681,374,256	5,816,413,977	6,769,713,710	5,895,138,555
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Number of ordinary shares used as the denominator

Total number of ordinary shares	33,696,000	33,696,000	33,696,000	33,696,000
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Net assets value per ordinary share	198	173	201	175
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Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

20 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of Significant Accounting Policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognized. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 on 'Financial Instrument Recognition & Measurement' under the headings of the Statement of Financial Position.

20.1 Company

As at 31st March 2022	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	795,260,944	-	795,260,944
Repurchase agreements	-	250,000,000	-	250,000,000
Placements with banks & financial institutions	-	287,925,208	-	287,925,208
Financial assets recognised through profit or loss - measured at fair value	1,502,280,225	-	-	1,502,280,225
Loans and advances - at amortised cost	-	14,797,772,357	-	14,797,772,357
Lease rentals receivable - at amortised cost	-	25,503,747,256	-	25,503,747,256
Financial assets - fair value through other comprehensive income	-	-	184,720,884	184,720,884
Derivative financial assets	82,923,194	-	-	82,923,194
Other financial assets	-	636,340,449	-	636,340,449
Total Financial Assets	1,585,203,419	42,271,046,214	184,720,884	44,040,970,517
			Other Financial Liabilities at amortised cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			22,558,061,981	22,558,061,981
Due to depositors			14,681,375,682	14,681,375,682
Other financial liabilities			1,670,249,511	1,670,249,511
Total Financial Liabilities			38,909,687,174	38,909,687,174

20.2 Company

As at 31st March 2021	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	587,405,947	-	587,405,947
Repurchase agreements	-	400,203,715	-	400,203,715
Placements with banks & financial institutions	-	793,564,909	-	793,564,909
Financial assets recognised through profit or loss - measured at fair value	1,177,459,993	-	-	1,177,459,993
Loans and advances - at amortised cost	-	6,626,972,697	-	6,626,972,697
Lease rentals receivable - at amortised cost	-	19,978,211,851	-	19,978,211,851
Hire purchase rentals receivable - at amortised cost	-	5,542,117	-	5,542,117
Financial assets - fair value through other comprehensive income	-	-	203,724,802	203,724,802
Other financial assets	-	492,931,228	-	492,931,228
Total Financial Assets	1,177,459,993	28,884,832,465	203,724,802	30,266,017,259
			Other Financial Liabilities at amortised cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			13,214,241,102	13,214,241,102
Due to depositors			12,918,786,478	12,918,786,478
Derivative financial liabilities			13,545,550	13,545,550
Other financial liabilities			883,877,701	883,877,701
Total Financial Liabilities			27,030,450,831	27,030,450,831



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

20.3 Group

As at 31st March 2022	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	898,748,640	-	898,748,640
Repurchase agreements	-	250,000,000	-	250,000,000
Placements with banks & financial institutions	-	287,925,208	-	287,925,208
Financial assets recognised through profit or loss - measured at fair value	1,502,280,225	-	-	1,502,280,225
Loans and advances - at amortised cost	-	14,797,772,357	-	14,797,772,357
Lease rentals receivable - at amortised cost	-	25,503,747,256	-	25,503,747,256
Financial assets - fair value through other comprehensive income	-	-	184,720,884	184,720,884
Derivative financial assets	82,923,194	-	-	82,923,194
Other financial assets	-	630,656,592	-	630,656,592
Total Financial Assets	1,585,203,419	42,368,850,053	184,720,884	44,138,774,356
			Other Financial Liabilities at Amortised Cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			22,558,061,981	22,558,061,981
Due to depositors			14,681,375,682	14,681,375,682
Other financial liabilities			1,704,808,662	1,704,808,662
Total Financial Liabilities			38,944,246,325	38,944,246,325

20.4 Group

As at 31st March 2021	Fair Value Through Profit or Loss	Amortised Cost	Fair value through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	637,840,499	-	637,840,499
Repurchase agreements	-	400,203,715	-	400,203,715
Placements with banks & financial institutions	-	793,564,909	-	793,564,909
Financial assets recognised through profit or loss - measured at fair value	1,177,459,993	-	-	1,177,459,993
Loans and advances - at amortised cost	-	6,626,972,697	-	6,626,972,697
Lease rentals receivable - at amortised cost	-	19,978,211,851	-	19,978,211,851
Hire purchase rentals receivable - at amortised cost	-	5,542,117	-	5,542,117
Financial assets - fair value through other comprehensive income	-	-	203,724,802	203,724,802
Other financial assets	-	564,090,869	-	564,090,869
Total Financial Assets	1,177,459,993	29,006,426,657	203,724,802	30,387,611,452
			Other Financial Liabilities at Amortised Cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			13,214,241,102	13,214,241,102
Due to depositors			12,918,786,478	12,918,786,478
Derivative financial liabilities			13,545,550	13,545,550
Other financial liabilities			899,693,781	899,693,781
Total Financial Liabilities			27,046,266,911	27,046,266,911



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
21 CASH AND CASH EQUIVALENTS				
Cash in hand	131,836,806	90,259,953	131,836,806	90,259,953
Balances with banks	663,424,138	497,145,994	766,911,834	547,580,546
	<u>795,260,944</u>	<u>587,405,947</u>	<u>898,748,640</u>	<u>637,840,499</u>
22 FINANCIAL ASSETS - RECOGNISED THROUGH PROFIT OR LOSS				
Government of Sri Lanka treasury bills - at fair value	1,395,566,214	905,162,506	1,395,566,214	905,162,506
Government of Sri Lanka treasury bonds - at fair value	106,714,011	272,297,487	106,714,011	272,297,487
	<u>1,502,280,225</u>	<u>1,177,459,993</u>	<u>1,502,280,225</u>	<u>1,177,459,993</u>
23 LOANS AND ADVANCES - MEASURED AT AMORTISED COST				
Term loan receivable	8,642,803,991	3,653,267,844	8,642,803,991	3,653,267,844
Gold loans	6,402,550,988	3,096,578,160	6,402,550,988	3,096,578,160
Pledge loans	212,118,789	427,068,346	212,118,789	427,068,346
Micro finance loans	48,708,310	336,025,221	48,708,310	336,025,221
Loans against fixed deposits	244,027,663	59,559,149	244,027,663	59,559,149
Gross loans and advances receivable	15,550,209,741	7,572,498,720	15,550,209,741	7,572,498,720
Less: Interest Adjustment on NPLs using credit adjusted EIR (Note 23.1 (a))	(79,005,464)	(54,898,878)	(79,005,464)	(54,898,878)
Outstanding loans and advances receivable	15,471,204,277	7,517,599,842	15,471,204,277	7,517,599,842
Less : Allowance for impairment losses (Note 23.1 (b), 23.2, 23.3 & 23.4)	(673,431,920)	(890,627,145)	(673,431,920)	(890,627,145)
Net loans and advances	<u>14,797,772,357</u>	<u>6,626,972,697</u>	<u>14,797,772,357</u>	<u>6,626,972,697</u>
23.1 a) Interest Adjustment on NPLs using credit adjusted EIR				
As at 01st April	54,898,878	44,546,516	54,898,878	44,546,516
Reversed / (credited) to interest income	24,106,586	10,352,362	24,106,586	10,352,362
As at 31 st March	<u>79,005,464</u>	<u>54,898,878</u>	<u>79,005,464</u>	<u>54,898,878</u>
b) Allowances for Impairment Losses				
As at 01st April	890,627,145	839,028,961	890,627,145	839,028,961
Charge / (Reversal) for the year	37,587,463	51,598,184	37,587,463	51,598,184
Writeoff	(254,782,687)	-	(254,782,686)	-
As at 31 st March	<u>673,431,921</u>	<u>890,627,145</u>	<u>673,431,922</u>	<u>890,627,145</u>



Alliance Finance Company PLC

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As at 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
23.2 Loan Category wise Allowances for Impairment Losses				
Term loan receivable	522,710,208	437,249,130	522,710,208	437,249,130
Gold loans	9,513,437	148,253,570	9,513,437	148,253,570
Pledge loans	123,672,220	107,674,711	123,672,220	107,674,711
Micro finance loans	17,536,055	197,449,733	17,536,055	197,449,733
	<u>673,431,920</u>	<u>890,627,145</u>	<u>673,431,920</u>	<u>890,627,145</u>

23.3 Analysis of the Impairment for Expected Credit Losses, Based on the Staging of the Underlying Loans is Given Below:

	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
Outstanding loans and advances 31st March 2022	14,261,117,335	347,303,855	862,783,087	15,471,204,277
Less: Provision for collective impairment	(152,424,620)	(23,325,111)	(54,976,511)	(230,726,242)
Less: Provision for individual impairment	-	-	(442,705,678)	(442,705,678)
	<u>14,108,692,715</u>	<u>323,978,744</u>	<u>365,100,898</u>	<u>14,797,772,357</u>
Outstanding loans and advances 31st March 2021	5,970,651,339	279,285,828	1,267,662,676	7,517,599,842
Less: Provision for collective impairment	(237,548,218)	(40,287,803)	(230,909,284)	(508,745,305)
Less: Provision for individual impairment	-	-	(381,881,840)	(381,881,840)
	<u>5,733,103,121</u>	<u>238,998,025</u>	<u>654,871,552</u>	<u>6,626,972,697</u>

Term loan receivables include receivables amounting to Rs. 3,348,257,470/- that have been assigned under a securitization funding arrangement.

23.4 Company & Group	Within one year	1-5 Years	Over 5 years	Total
As at 31st March 2022	Rs.	Rs.	Rs.	Rs.
Outstanding rentals receivables				
- Loan rentals	10,104,885,510	2,656,306,437	3,533,403	12,764,725,350
- Amounts receivable from hirers	2,706,478,927	-	-	2,706,478,927
	<u>12,811,364,437</u>	<u>2,656,306,437</u>	<u>3,533,403</u>	<u>15,471,204,277</u>
Less : Allowance for impairment losses				(673,431,920)
Total net rentals receivable				<u>14,797,772,357</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

24 LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Lease rentals	35,882,459,006	27,597,551,276	35,882,459,006	27,597,551,276
Amounts receivable from hirers	1,397,321,276	1,646,166,122	1,397,321,276	1,646,166,122
Gross rentals receivables	37,279,780,282	29,243,717,398	37,279,780,282	29,243,717,398
Less: Unearned income	(10,829,520,674)	(8,177,616,007)	(10,829,520,674)	(8,177,616,007)
Less: Interest Adjustment on NPLs using credit adjusted EIR (Note 24.1 (a))	(88,417,977)	(59,159,842)	(88,417,977)	(59,159,842)
Outstanding rentals receivables	26,361,841,631	21,006,941,549	26,361,841,631	21,006,941,549
Less : Allowance for impairment losses (Note 24.1 (b) & 24.3)	(858,094,375)	(1,028,729,698)	(858,094,375)	(1,028,729,698)
Total net rentals receivable (Note 24.2 & 24.3)	25,503,747,256	19,978,211,851	25,503,747,256	19,978,211,851

24.1 a) Interest Adjustment on NPLs using credit adjusted EIR

As at 01st April	59,159,842	52,333,738	59,159,842	52,333,738
Reversed / (credited) to interest income	29,258,135	6,826,104	29,258,135	6,826,104
As at 31st March	88,417,977	59,159,842	88,417,977	59,159,842

b) Allowances for Impairment Losses

As at 01st April	1,028,729,698	1,010,045,913	1,028,729,698	1,010,045,913
Charge / (Reversal) for the year	(170,635,323)	18,683,785	(170,635,323)	18,683,785
As at 31st March	858,094,375	1,028,729,698	858,094,375	1,028,729,698

24.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying leases is given below:

Company & Group

	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
Outstanding lease and receivables 31st March 2022	22,856,771,235	2,456,572,337	1,048,498,059	26,361,841,631
Less: Provision for collective impairment	(247,287,732)	(109,914,800)	(59,583,556)	(416,786,088)
Less: Provision for individual impairment	-	-	(441,308,287)	(441,308,287)
	22,609,483,503	2,346,657,537	547,606,216	25,503,747,256
Outstanding lease and receivables 31st March 2021	16,286,717,125	2,215,853,322	2,563,530,944	21,066,101,391
Less: Provision for collective impairment	(104,388,771)	(96,543,122)	(303,701,678)	(504,633,571)
Less: Provision for individual impairment	-	-	(583,255,969)	(583,255,969)
	16,182,328,354	2,119,310,200	1,676,573,297	19,978,211,851

24.3 Company & Group

As at 31st March 2022

	Within one year	1-5 Years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
- Lease rentals	12,671,662,827	23,197,508,541	13,287,638	35,882,459,006
- Amounts receivable from hirers	1,308,903,299	-	-	1,308,903,299
Outstanding rentals receivables	13,980,566,126	23,197,508,541	13,287,638	37,191,362,305
Less: Unearned income	(5,012,009,155)	(5,816,375,283)	(1,136,235)	(10,829,520,674)
Net rentals receivables	8,968,556,971	17,381,133,258	12,151,403	26,361,841,631
Less : Allowance for impairment losses				(858,094,375)
Total net rentals receivable				25,503,747,256

Company & Group

As at 31st March 2021

	Within one year	1-5 Years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	10,803,779,586	16,793,771,689	-	27,597,551,275
- Amounts receivable from hirers	1,587,006,280	-	-	1,587,006,280
	12,390,785,866	16,793,771,689	-	29,184,557,555
Less: Unearned income	(4,086,870,153)	(4,090,745,853)	-	(8,177,616,006)
Net rentals receivables	8,303,915,713	12,703,025,836	-	21,006,941,549
Less : Allowance for impairment losses				(1,028,729,698)
Total net rentals receivable				19,978,211,851

Lease rental receivables include receivables amounting to Rs. 22,447,682,581/- that have been assigned under a securitization funding arrangement.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

25 HIRE PURCHASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company 2022 Rs.	2021 Rs.	Group 2022 Rs.	2021 Rs.
Rentals Receivables	-	-	-	-
Amounts receivable from hirers	3,968,823	3,979,022	3,968,823	3,979,022
Gross rentals receivables	3,968,823	3,979,022	3,968,823	3,979,022
Less: Interest Adjustment on NPLs using credit adjusted EIR (Note 25.1 (a))	(190,579)	5,543,784	(190,579)	5,543,784
Outstanding rentals receivables	3,778,244	9,522,806	3,778,244	9,522,806
Less: Allowance for impairment losses (Note 25.1 (b))	(3,778,244)	(3,980,689)	(3,778,244)	(3,980,689)
Total net rentals receivable (Note 25.2 & 25.3)	-	5,542,117	-	5,542,117

25.1 a) Interest Adjustment on NPLs using credit adjusted EIR

As at 01st April	(5,543,784)	(5,301,670)	(5,543,784)	(5,301,670)
Reversed / (credited) to interest income	5,734,363	(242,114)	5,734,363	(242,114)
As at 31 st March	190,579	(5,543,784)	190,579	(5,543,784)

b) Allowance for Impairment Losses

As at 01st April	3,980,689	5,481,655	(1,320,981)	179,985
Charge / (Reversal) for the year	(202,445)	(1,500,966)	(202,445)	(1,500,966)
As at 31 st March	3,778,244	3,980,689	(1,523,426)	(1,320,981)

25.2

Analysis of the impairment for expected credit losses, based on the staging of the underlying hire purchase is given below:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Outstanding rental receivable 31st March 2022	-	-	3,778,244	3,778,244
Less: Provision for individual impairment	-	-	(3,778,244)	(3,778,244)
	-	-	-	-
Outstanding rental receivable 31 March 2021	-	-	9,522,806	9,522,806
Less: Provision for collective impairment	-	-	-	-
Less: Provision for individual impairment	-	-	(3,980,689)	(3,980,689)
	-	-	5,542,117	5,542,117

25.3 Company & Group

	Within one year Rs.	1-5 Years Rs.	Over 5 years Rs.	Total Rs.
As at 31st March 2022				
Hire purchase rentals	-	-	-	-
Amounts receivable from hirers	3,778,244	-	-	3,778,244
Outstanding rentals receivables	3,778,244	-	-	3,778,244
Less: Unearned income	-	-	-	-
Net rentals receivables	3,778,244	-	-	3,778,244

	Within one year Rs.	1-5 Years Rs.	Over 5 years Rs.	Total Rs.
As at 31st March 2021				
Hire purchase rentals	-	-	-	-
Amounts receivable from hirers	9,522,806	-	-	9,522,806
Outstanding rentals receivables	9,522,806	-	-	9,522,806
Less: Unearned income	-	-	-	-
Net rentals receivables	9,522,806	-	-	9,522,806



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

26 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Company 2022 Rs.	2021 Rs.	Group 2022 Rs.	2021 Rs.
Quoted equity securities (Note 26.1)	184,141,634	203,145,552	184,141,634	203,145,552
Unquoted equities (Note 26.2)	579,250	579,250	579,250	579,250
	184,720,884	203,724,802	184,720,884	203,724,802

26.1 Quoted Equities

	No of Shares	2022 Company & Group Cost of Investment Rs.	Fair Value Rs.	No of Shares	2021 Company & Group Cost of Investment Rs.	Fair Value Rs.
<u>Banks, Finance & Insurance</u>						
Sanasa Development Bank	3,516,310	182,085,425	103,731,145	2,066,310	107,410,425	117,366,407
Seylan Bank PLC	-	-	-	111,080	11,841,684	5,442,920
Softlogic Life Insurance	-	-	-	47,133	1,662,224	1,437,557
		182,085,425	103,731,145		120,914,333	124,246,884
<u>Hotels & Travels</u>						
Aitken Plc	45,608	3,666,849	3,361,310	-	-	-
Ceylon Hotels Corporation PLC	52,475	2,105,616	477,523	53,331	2,139,964	565,309
Jetwing Symphony PLC	270,000	2,970,000	2,835,000	750,000	8,250,000	6,750,000
Mahaweli Reach Hotels PLC	71,686	2,960,739	860,232	71,928	2,970,734	935,064
Sigiriya Village Hotels PLC	-	-	-	64,902	6,779,287	2,323,492
Tal Lanka Hotels PLC	16,611	931,236	219,265	17,800	997,893	218,940
		12,634,441	7,753,330		21,137,878	10,792,805
<u>Manufacturing</u>						
Kelani Tyres PLC	-	-	-	47,778	4,131,201	3,726,684
Teejay Lanka PLC	355,000	15,121,519	14,129,000	-	-	-
JAT Holding PLC	389,400	10,513,800	6,191,460	-	-	-
Hela Apparel Holdings Limited	150,000	2,250,000	1,935,000	-	-	-
Tokyo Cement PLC	-	-	-	5,971	175,557	361,843
Tokyo Cement PLC - non voting	91,971	5,601,917	2,418,837	-	-	-
		33,487,236	24,674,297		4,306,759	4,088,527
<u>Investment Trusts</u>						
Lee Hedges PLC	-	-	-	284,799	17,621,482	18,511,935
Renuka Holdings PLC	-	-	-	169,529	5,796,143	2,441,218
		-	-		23,417,625	20,953,153
<u>Diversified Holdings</u>						
Aitken Spence PLC	-	-	-	546,700	45,947,578	30,341,850
Hemas Holdings PLC	-	-	-	40,000	4,000,000	3,336,000
Hayleys PLC	493,609	57,423,573	37,958,532	-	-	-
		57,423,573	37,958,532		49,947,578	33,677,850
<u>Plantations</u>						
Kegalle Plantations PLC	-	-	-	10,658	2,374,779	1,035,958
		-	-		2,374,779	1,035,958
<u>Construction & Engineering</u>						
Access Engineering PLC	401,622	9,869,736	6,024,330	-	-	-
		9,869,736	6,024,330		-	-



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

26.1 Quoted Equities (continued)

	2022 Company & Group			2021 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
Motors						
Diesel & Motor Engineering PLC	-	-	-	15,748	17,227,215	8,350,377
		-	-		17,227,215	8,350,377
Telecommunications						
Dialog Axiata PLC	400,000	5,077,540	4,000,000	-	-	-
		5,077,540	4,000,000		-	-
Total Investment		300,577,951	184,141,634		159,279,428	203,145,552

26.2 Unquoted Equities

Company & Group	Company 2022		Group 2021	
	Cost of Investment Rs.	Fair Value Rs.	Cost of Investment Rs.	Fair Value Rs.
Comp trust Equity Fund	200,500	200,500	200,500	200,500
Commercial Fund Management	1,500	1,500	1,500	1,500
Shaw Wallace Ceylon Ltd	11,544	11,544	11,544	11,544
Alliance Agencies Ltd	75,300	75,300	75,300	75,300
Ceylon Japan Industries Ltd	1	1	1	1
Orient Food Processing (Lanka) Ltd	1	1	1	1
Trigem Knitwear Ltd	1	1	1	1
Credit Information Bureau of Sri Lanka	25,400	25,400	25,400	25,400
Finance House Consortium (Pvt) Ltd	200,000	200,000	200,000	200,000
Orient Hotels Ltd	1	1	1	1
Ranwelli Holiday Resorts Ltd	65,001	65,001	65,001	65,001
Nation Lanka Equities (Pvt) Ltd	8,785,740	1	8,785,740	1
Total	9,364,989	579,250	9,364,989	579,250

Directors of the Company assessed that fair value of the unquoted share investments held by the Company as at 31st March 2022 and concluded that the carrying value as at that date is a reasonable approximation of fair value.



Alliance Finance Company PLC

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As at 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
27 OTHER TRADING STOCKS				
Real estates	10,688,250	21,301,500	21,376,500	21,301,500
Vehicles stock	381,837,494	258,265,070	371,149,244	258,265,070
	392,525,744	279,566,570	392,525,744	279,566,570
28 OTHER FINANCIAL ASSETS				
Collaboration debtors	58,441,360	48,889,858	58,441,360	48,889,858
Deferred expenses	440,564,990	293,837,741	440,564,990	293,837,741
Other receivables	137,334,099	150,203,629	131,650,242	221,363,270
	636,340,449	492,931,228	630,656,592	564,090,869
29 OTHER NON FINANCIAL ASSETS				
Pre-paid expenses	232,523,694	158,593,103	232,523,694	158,593,103
Stationery stock account	11,362,435	4,692,306	11,362,435	4,692,306
VAT recoverable	-	-	475,323	475,323
	243,886,129	163,285,409	244,361,452	163,760,732

30 INVESTMENT IN ASSOCIATES

Company			Carrying Value	Share of profit/(loss)	Other movements	Carrying Value
		% Holding	01.04.2021			31.03.2022
			Rs.	Rs.	Rs.	Rs.
a) Equity Method						
Company						
Macbertan (Pvt) Ltd	22.45%		47,756,062	5,946,770	(3,864,484)	49,838,348
			47,756,062	5,946,770	(3,864,484)	49,838,348
			Carrying Value	Share of profit/(loss)	Other movements	Carrying Value
		% Holding	01.04.2021			31.03.2022
			Rs.	Rs.	Rs.	Rs.
Group						
Macbertan (Pvt) Ltd	22.45%		96,563,532	5,946,770	(19,417,459)	83,092,843
			96,563,532	5,946,770	(19,417,459)	83,092,843



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

INVESTMENT IN ASSOCIATES (Continued.)

		2022 Rs.	2021 Rs.
b) Cost Method- Holding by Company	No. of Ordinary Shares	Cost of Investment Rs.	Cost of Investment Rs.
Macbertan (Pvt) Ltd	1,720,000	17,200,000	17,200,000
		<u>17,200,000</u>	<u>17,200,000</u>
Cost Method- Holding by Group			
Macbertan (Pvt) Ltd	5,706,241	66,962,410	66,007,470
		<u>66,962,410</u>	<u>66,007,470</u>

Summarized Financial Information of Associate Company

As at 31st March	2022 Rs.	2021 Rs.
Mac-bertain Pvt Ltd		
Revenue	739,432,043	490,170,702
Profit / (Loss) for the period	28,844,224	9,484,827
Current Assets	365,858,086	267,911,598
Non Current Assets	350,241,413	366,590,626
Current Liabilities	323,899,070	256,725,600
Non Current Liabilities	28,215,286	38,395,188
Dividend income received	-	-

Alliance Tech Trading (Pvt) Ltd is an Associate Company (40% holding) and the Company has been dormant and no significant assets or liabilities were carried in its books as at 31st March 2022 and 2021.

31 INVESTMENT IN SUBSIDIARIES

	Principal Activity	% Holding	Cost of Investment
Alfinco Insurance Brokers (Pvt) Ltd	Insurance Brokering	63.94%	16,924,038
Alfinco Insurance Brokers (Pvt) Ltd is not quoted in Colombo Stock Exchange.			

Summarized Financial Information of Subsidiary

As at 31st March	2022 Rs.	2021 Rs.
Alfinco Insurance Brokers (Pvt) Ltd		
Net operating income	159,342,823	116,412,229
Less: operating expenses	(87,732,570)	(70,081,406)
Profit before taxes	71,610,253	46,330,823
Less: Taxes	(16,625,358)	(11,118,923)
Profit after tax	<u>54,984,895</u>	<u>35,211,900</u>
Assets	280,654,637	199,136,569
Liabilities	62,352,077	43,869,956
Equity	<u>218,302,560</u>	<u>155,266,613</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

32 INVESTMENT PROPERTY

Company	Balance As at 01.04.2021	Fair value gain	Addition	Disposals	Balance As at 31.03.2022
Gross Carrying Amounts					
	Rs.	Rs.	Rs.	Rs.	Rs.
Land	574,254,000	27,009,600	-	(441,673,500)	159,590,100
	574,254,000	27,009,600	-	(441,673,500)	159,590,100

During the year the Company partially disposed its Investment Property at No.199/11, Rajagiriya Road, Rajagiriya (Extent 140.75P) and the details are as follows,

Description	Sold Extent (Perch)	Purchase cost	Sale Price	Expenses Incurred	Total Disposal Profit
No.199/11, Rajagiriya Road, Rajagiriya	140.75	30,243,643	524,550,000	32,536,500	461,769,857

Total disposal profit on investment property disposal is recorded under following sections in the financial statements.

Description	In Revaluation Reserve	Retained Earnings	Current year Profit	Total Disposal Profit
No.199/11, Rajagiriya Road, Rajagiriya	332,627,451	62,002,406	67,140,000	461,769,857

Group	Balance As at 01.04.2021	Fair value gain	Addition	Disposals	Balance As at 31.03.2022
Gross Carrying Amounts					
Land	574,254,000	27,009,600	85,660,416	(441,673,500)	245,250,516
	574,254,000	27,009,600	85,660,416	(441,673,500)	245,250,516

During the year, the Subsidiary Company has transferred the value of the property which was previously identified under other non financial asset to investment property category after getting the title of the property.

32.1 Revaluation of Investment property

The Company revalued its investment properties as at 31st March 2022, adopting an open market comparable basis of valuation by Mr. M.T.H Farook being independent, professional valuer with recent experience in the location category of the property being valued.

Details of investment properties Stated at Valuation				Company	Group
Location	Date of valuation	Net book Value at valuation	Revaluation amount	Revaluation Gain Recognised in P & L	Revaluation Gain Recognised in P & L
		Rs.	Rs.	Rs.	Rs.
No.199/11, Rajagiriya Road, Rajagiriya	31.03.2022	67,640,000	79,423,600	11,783,600	11,783,600
No.199/10, Rajagiriya Road, Rajagiriya	31.03.2022	87,400,000	102,626,000	15,226,000	15,226,000
		155,040,000	182,049,600	27,009,600	27,009,600

32.2 Details of investment properties as at 31st March 2022

Location	Land extent (perches)	No of Buildings	Extent of the Building	Value Rs.
No.199/11, Rajagiriya Road, Rajagiriya	19.25	-	-	72,190,100
No.199/10, Rajagiriya Road, Rajagiriya	23	-	-	87,400,000
Colombo City Center	-	-	-	-

Fair Value

The following table shows the valuation technique used in measuring the fair value of investment property, as well as the significant unobservable inputs used:

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease), when market value per perch was higher (lower)

Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in directors opinion, meets the requirements in SLFRS 13 fair Value Measurements.

32.3 Title restriction on Investment properties

There were no restriction on the title of land classified as investment properties as at 31st March 2022.

32.4 Rental income earned and expenses incurred on Investment Property

The Company has rented out the investment property during the financial year until the date of disposal. The rental income earned from this property was Rs. 1,862,007/-

Alliance Finance Company PLC

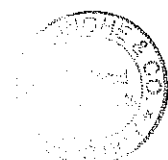
NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

33 PROPERTY, PLANT AND EQUIPMENT

33.1 Company

Gross Carrying Amounts	Balance As at 01.04.2021 Rs.	Additions Rs.	Disposals Rs.	Transfers / Adjustments Rs.	Balance As at 31.03.2022 Rs.
Cost / Valuation					
Freehold Assets					
Land	1,817,902,940	-	-	-	1,817,902,940
Buildings	245,234,499	1,346,644	-	-	246,581,143
Furniture & fittings	84,140,023	10,444,101	(1,355,478)	-	93,228,646
Equipment	306,338,099	75,998,050	(799,068)	(53,100)	381,483,981
Motor vehicles & accessories	316,930,269	115,386,250	(15,674,791)	-	416,641,728
Computers	146,122,965	35,013,698	(1,527,080)	-	179,609,583
Antiques	25,580	-	-	-	25,580
	<u>2,916,694,375</u>	<u>238,188,743</u>	<u>(19,356,417)</u>	<u>(53,100)</u>	<u>3,135,473,601</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	-	12,329,057	-	-	12,329,057
Furniture & fittings	47,237,498	10,913,901	(960,585)	(2,920,517)	54,270,297
Equipment	212,925,113	40,882,095	(736,553)	(7,638,434)	245,432,221
Motor vehicles & accessories	151,406,746	36,612,573	(8,510,041)	-	179,509,278
Computers	127,440,360	15,694,335	(1,526,192)	-	141,608,503
Antiques	-	-	-	-	-
	<u>539,009,717</u>	<u>116,431,961</u>	<u>(11,733,371)</u>	<u>(10,558,951)</u>	<u>633,149,356</u>
Net book value					
Land	1,817,902,940				1,817,902,940
Buildings	245,234,499				234,252,086
Furniture & fittings	36,902,525				38,958,349
Equipment	93,412,986				136,051,760
Motor vehicles & accessories	165,523,523				237,132,450
Computers	18,682,605				38,001,080
Antiques	25,580				25,580
	<u>2,377,684,658</u>				<u>2,502,324,245</u>



Alliance Finance Company PLC

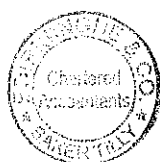
NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

33 PROPERTY, PLANT AND EQUIPMENT (Continued)

33.2 Group

Gross Carrying Amounts	Balance As at 01.04.2021	Additions	Disposals	Transfers / Adjustments	Balance As at 31.03.2022
	Rs.	Rs.	Rs.	Rs.	Rs.
Cost / Valuation					
Freehold Assets					
Land	1,817,902,940	-	-	-	1,817,902,940
Buildings	245,234,500	1,346,644	-	-	246,581,144
Furniture & fittings	85,385,077	10,444,101	(1,355,478)	-	94,473,700
Equipment	308,698,072	75,998,050	(799,068)	(53,100)	383,843,954
Motor vehicles & accessories	316,930,269	115,386,250	(15,674,791)	-	416,641,728
Computers	147,290,195	36,484,537	(1,527,080)	(255,900)	181,991,752
Antiques	25,580	-	-	-	25,580
	<u>2,921,466,633</u>	<u>239,659,582</u>	<u>(19,356,417)</u>	<u>(309,000)</u>	<u>3,141,460,798</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	-	12,329,057	-	-	12,329,057
Furniture & fittings	48,241,048	10,914,901	(960,585)	(2,936,511)	55,258,853
Equipment	215,322,187	40,882,095	(736,553)	(7,638,434)	247,829,295
Motor Vehicles & accessories	151,406,745	36,612,573	(8,510,041)	-	179,509,277
Computers	128,540,492	16,077,657	(1,526,192)	-	143,091,957
Antiques	-	-	-	-	-
	<u>543,510,472</u>	<u>116,816,283</u>	<u>(11,733,371)</u>	<u>(10,574,945)</u>	<u>638,018,439</u>
Net book value					
Land	1,817,902,940				1,817,902,940
Buildings	245,234,500				234,252,087
Furniture & fittings	37,144,029				39,214,847
Equipment	93,375,885				136,014,659
Motor vehicles & accessories	165,523,524				237,132,451
Computers	18,749,703				38,899,795
Antiques	25,580				25,580
	<u>2,377,956,161</u>				<u>2,503,442,359</u>



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2022

33.3 Revaluation of Fixed Assets

The Company revalued its land and buildings as at 31st March 2021, adopting an open market comparable basis of valuation by Mr.M.T.Hilmy Farook being Independent, professional Valuer with recent experience in the location category of the Property being valued..

33.3.1 Details of Company's Land Stated at Valuation

Location	Valuer	Date of valuation	Method of valuation	Net book Value Before valuation	Revaluation amount	Revaluation Gain/(Loss) Recognised in OCI
No.84, Ward Place, Colombo 7	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	Rs. 708,500,000	Rs. 1,072,981,930	Rs. 364,481,930
No.98, Ward Place, Colombo 7	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	224,770,000	308,046,420	83,276,420
No.720, Kotte Road, Rajagiriya	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	130,253,800	212,389,850	82,136,050
No.722, Kotte Road, Rajagiriya	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	89,503,793	158,144,740	68,640,947
No.383, Kotugoda Road, Seeduwa	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	25,769,902	41,840,000	16,070,098
No.152,150/1 Batapadura Watta Road, Siyambalagoda	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	732,470	24,500,000	23,767,530
				1,179,529,965	1,817,902,940	638,372,975

33.3.2 Details of Company's Buildings Stated at Valuation

Location	Valuer	Date of valuation	Method of valuation	Net book Value Before valuation	Revaluation amount	Revaluation Gain/(Loss) Recognised in OCI
No.84, Ward Place, Colombo 7	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	Rs. 6,549,760	Rs. 33,750,000	Rs. 27,200,240
No.98, Ward Place, Colombo 7	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	25,514,087	46,080,000	20,565,913
No.720, Kotte Road, Rajagiriya	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	17,610,659	25,000,000	7,389,341
No.722, Kotte Road, Rajagiriya	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	121,858,349	132,268,500	10,410,151
No.383, Kotugoda Road, Seeduwa	Mr.M.T.Hilmy Farook	31.03.2021	Market Comparable Method	4,695,598	8,136,000	3,440,402
				176,228,453	245,234,500	69,006,046



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2022

33.3.3 Valuation Technique and Significant Unobservable Inputs

The following table shows the valuation technique used in measuring the fair value of property, as well as the significant unobservable inputs used:

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease) if - Market value per perch was higher (Lower)

33.3.4 Carrying value at cost

The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation would be as follows;

	Cost Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
As at 31st March 2022			
Freehold lands	558,712,624	-	558,712,624
Freehold buildings	408,703,877	59,187,048	349,516,829
	967,416,501	59,187,048	908,229,453

33.3.5 Carrying value at revaluation

The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

	Revalued Amount Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
As at 31st March 2022			
Land	1,817,902,940	-	1,817,902,940
Building	246,581,143	12,329,057	234,252,086
	2,064,484,083	12,329,057	2,052,155,026



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

33.4 Details of Freehold Land and Buildings as at 31st March 2022

Location	Land extent (Perches)	Cost or Revaluation of Land Rs.	No of Buildings	Buildings (Square Feet)	Cost or Revaluation of Building Rs.	Total Value Rs.
No 84 Ward Place Colombo - 7	65.00	1,072,981,930	2	6,967	33,750,000	1,106,731,930
No.98, Ward Place, Colombo - 7	19.41	308,046,420	1	8,460	46,080,000	354,126,420
No.152,150/1 Batapadura Watta Road, Siyambalagoda	49.00	24,500,000	-	-	-	24,500,000
No.720, Kotte Road, Rajagiriya	33.85	212,389,850	1	-	25,000,000	237,389,850
No.722, Kotte Road, Rajagiriya	23.26	158,144,740	1	16,660	133,615,143	291,759,883
No.383, Kotugoda Road, Seeduwa	80.00	41,840,000	1	2,712	8,136,000	49,976,000
Freehold Land and Building		1,817,902,940			246,581,143	2,064,484,083

33.5 During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 238,188,743 /- (2020/21 - Rs. 123,282,161 /-) and payment made by cash.

33.6 The cost of the fully depreciated / amortised property, plant and equipment and intangible assets of the Company which are still in use as at the end of the reporting date is as follows:

	Company		Group	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Motor vehicles	43,941,359	44,044,086	43,941,359	44,044,086
Office Equipment	149,956,541	120,232,899	152,353,615	122,629,973
Furniture & Fittings	471,565	468,510	1,452,718	1,449,663
Computers	123,556,376	108,967,034	124,596,506	110,007,164
Software - Intangible assets	5,153,427	3,225,075	6,706,427	4,778,075
	323,079,268	276,937,605	329,050,624	282,908,962

33.7 Title restriction on Property Plant and Equipment

There were no restriction on the title of property, plant and equipment as at 31st March 2022.

33.8 Property Plant and Equipment pledged as security for liabilities

Property	Mortgaged with	Value
No.722, Kotte Road, Rajagiriya	Public Bank	550 mn

33.9 Measurement of fair values

The fair value measurement for freehold lands have been categorized as a Level 3 fair value based on the input to the valuation technique used.

33.10 The Group does not foresee indications of Impairment of Fixed assets as at the reporting date due to the current macro economic situation and each business unit functions under the respective business continuity plans.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

34 INTANGIBLE ASSETS

34.1 Company

	Balance As at 31.03.2021 Rs.	Additions Rs.	Transfers / Disposals Rs.	Balance As at 31.03.2022 Rs.
Gross Carrying Value				
Cost / Valuation				
Computer software - Freehold	116,035,205	11,858,849	(2,970,819)	124,923,235
Computer Software - WIP	-	68,404,712	-	68,404,712
	116,035,205	80,263,561	(2,970,819)	193,327,947
Amortization				
Computer software - Freehold	57,538,035	11,031,096	(1,956,615)	66,612,516
Computer Software - WIP	-	-	-	-
	57,538,035	11,031,096	(1,956,615)	66,612,516
Net book value				
Computer software - Freehold	58,497,170			58,310,719
Computer Software - WIP	-			68,404,712
	58,497,170			126,715,431

34.2 Group

Cost / Valuation				
Computer software - Freehold	117,588,205	12,433,846	(2,970,819)	127,051,232
Computer Software - WIP	-	68,404,712	-	68,404,712
	117,588,205	80,838,558	(2,970,819)	195,455,944
Amortization				
Computer software - Freehold	59,091,035	11,141,027	(1,956,615)	68,275,447
Computer Software - WIP	-	-	-	-
	59,091,035	11,141,027	(1,956,615)	68,275,447
Net book value				
Computer software - Freehold	58,497,170			58,775,785
Computer Software - WIP	-			68,404,712
	58,497,170			127,180,497

35 RIGHT OF USE ASSETS

35.1 Cost of Right of Use Asset

	Company Rs.	Group Rs.
Balance as at 01st April 2021	341,864,121	341,864,121
Additions and improvements	309,673,888	309,673,888
Balance as at 31st March 2022	651,538,009	651,538,009
Accumulated Amortisation		
Balance as at 01st April 2021	148,542,640	148,542,640
Charge for the Year	104,584,448	104,584,448
Other movements	626,900	626,900
Balance as at 31st March 2022	253,753,988	253,753,988
Net book value as at 31st March 2022	397,784,021	397,784,021
Net book value as at 31st March 2021	193,321,481	193,321,481

35.2 Operating Lease Liability

Balance as at 01st April 2021	206,736,861	206,736,861
Additions and improvements	246,675,205	246,675,205
Accretion of Interest	33,752,349	33,752,349
Payments made during the year	(106,766,488)	(106,766,488)
Balance as at 31st March 2022	380,397,927	380,397,927
Balance as at 31st March 2021	206,736,861	206,736,861



NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

36 DUE TO BANKS

Bank overdrafts

Securitized borrowings and other facilities (Note 36.1)

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
	365,468,885	109,147,260	365,468,885	109,147,260
	22,192,593,096	13,105,093,842	22,192,593,096	13,105,093,842
	<u>22,558,061,981</u>	<u>13,214,241,102</u>	<u>22,558,061,981</u>	<u>13,214,241,102</u>

36.1 Securitized Borrowings

Company and Group

Company and Group	As at 31.03.2021		As at 31.03.2022		Period	Security
	Rs.	Rs.	Rs.	Rs.		
HNB Securitization -02	182,387,742	-	182,387,742	-	24 months	Lease receivables
HNB Securitization -03 - III	398,782,924	-	425,478,647	-	24 months	Lease receivables
HNB Securitization -03 - II	44,636,429	-	44,829,681	-	15 months	Lease receivables
HNB Securitization -04	455,090,699	-	237,408,337	261,853,023	36 months	Lease receivables
HNB Securitization -05	1,113,585,827	-	835,840,916	362,646,539	24 months	Lease receivables
Seylan Trust 02	786,869,224	-	225,085,419	622,860,427	30 months	Lease receivables
Peo-Trust 01 part 01	208,275,322	-	213,415,862	-	24 months	Lease receivables
Peo-Trust 01 part 02	86,452,586	-	88,624,182	-	17 months	Lease receivables
Securitization 06 - 01	-	740,074,484	12,000,000	767,176,285	48 months	Lease receivables
Securitization 06 Part 02	-	171,068,993	-	179,408,358	30 months	Lease receivables
Securitization 07	-	583,100,000	-	600,689,648	24 months	Lease receivables
Securitization 07 Part 02	-	250,000,000	-	257,872,392	24 months	Lease receivables
Securitization 08-1	-	65,000,000	-	65,024,041	04 months	Lease receivables
Securitization 08-2	-	10,000,000	-	10,003,699	04 months	Lease receivables
Securitization 08-3	-	400,000,000	-	400,147,945	06 months	Lease receivables
	<u>3,276,080,753</u>	<u>2,219,243,477</u>	<u>2,265,076,786</u>	<u>3,527,682,357</u>		

Direct Bank Borrowings

Term Loans

DFCC bank - PCI loan	38,621,724	2,937,801	17,295,599	24,263,926	70 Months	Nil
Hartion national bank	333,320,000	44,440,585	261,220,585	1,116,540,000	48 months	Lease receivables
Sampath bank loan	611,100,000	117,553,949	1,301,377,785	1,677,276,164	36 months	Lease receivables
Public bank	400,536,275	33,953,211	130,358,700	304,130,786	60 months	Land & Building
Union bank	988,095,245	59,467,949	6,047,563,194	900,000,000	60 months	Lease receivables
Commercial bank	374,999,700	28,046,011	435,597,567	403,448,144	36 months	Lease receivables
DFCC bank	497,222,211	54,656,361	384,313,225	667,565,347	96 months	Lease receivables
NDB bank	1,649,298,766	202,370,445	3,030,357,431	3,771,311,780	03 Months	Lease receivables
Seylan Bank	700,000,032	107,380,685	2,923,676,219	1,783,704,498	48 Months	Fixed Deposits
BOC Bank	521,188,194	35,389,354	623,244,186	508,333,362	12 Months	Lease receivables
Cargills	-	1,885,479	-	751,885,479	48 months	Lease receivables
NTB	250,000,000	29,698,377	417,198,634	312,499,743	06 Months	T-Bills
Reverse Repo on T-Bills	-	-	75,053,425	-	07 Days	Lease receivables
National Savings Bank	168,305,971	10,583,744	94,858,886	84,030,829	36 months	Lease receivables
Syndication 02-Sub Debt	-	57,704,384	57,184,139	1,000,520,245	60 Months	Lease receivables
	<u>6,532,688,118</u>	<u>21,786,053,425</u>	<u>15,799,299,575</u>	<u>13,305,510,303</u>		

Foreign Currency Borrowings

Triods Loan-SUB

DWM

IFC

FMO

Enabling Capital Ltd

Triods Loan-SUB	754,400,000	85,295,288	354,628,621	577,900,000	72 Months	Nil
DWM	341,701,165	1,429,853	343,131,018	-	36 Months	Lease receivables
IFC	512,701,473	49,034,466	254,154,610	307,581,329	60 Months	Lease receivables
FMO	1,687,522,332	201,995,645	716,670,540	3,443,405,426	60 Months	Lease receivables
Enabling Capital Ltd	3,296,324,970	24,563,681	-	1,030,513,681	36 Months	Lease receivables
	<u>13,105,093,842</u>	<u>362,318,933</u>	<u>1,668,584,789</u>	<u>5,359,400,436</u>		
	<u>13,105,093,842</u>	<u>1,445,816,181</u>	<u>19,732,955,150</u>	<u>22,192,593,096</u>		

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
37 DUE TO DEPOSITORS				
Fixed deposits	14,209,386,348	12,558,378,736	14,209,386,348	12,558,378,736
Savings deposits	471,989,334	360,407,742	471,989,334	360,407,742
	<u>14,681,375,682</u>	<u>12,918,786,478</u>	<u>14,681,375,682</u>	<u>12,918,786,478</u>
38 DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS				
Commercial Paper	867,759,553	-	867,759,553	-
	<u>867,759,553</u>	<u>-</u>	<u>867,759,553</u>	<u>-</u>
39 OTHER FINANCIAL LIABILITIES				
Accrued expenses	281,359,487	171,737,615	300,235,599	164,966,781
Trade creditors	364,995,886	243,012,089	364,995,886	243,012,089
Others	1,023,894,138	469,127,997	1,039,577,177	491,714,911
	<u>1,670,249,511</u>	<u>883,877,701</u>	<u>1,704,808,662</u>	<u>899,693,781</u>
40 OTHER NON FINANCIAL LIABILITIES				
FVAT payable	156,528,048	43,148,490	156,528,049	43,148,490
Other taxes payables	27,578,124	17,039,620	27,578,124	17,039,620
	<u>184,106,172</u>	<u>60,188,110</u>	<u>184,106,173</u>	<u>60,188,110</u>
41 DERIVATIVE FINANCIAL LIABILITIES				
Foreign currency swaps	-	13,545,550	-	13,545,550
	<u>-</u>	<u>13,545,550</u>	<u>-</u>	<u>13,545,550</u>
DERIVATIVE FINANCIAL ASSETS				
Foreign currency swaps	82,923,194	-	82,923,194	-
	<u>82,923,194</u>	<u>-</u>	<u>82,923,194</u>	<u>-</u>
42 INCOME TAX LIABILITY				
Tax refunds and self assessment payments	(535,611,975)	(260,036,730)	(544,091,184)	(267,950,214)
Current tax liability	858,531,644	564,646,012	871,394,908	575,951,624
Provision for contingent tax liabilities	542,234,123	341,703,798	542,234,123	341,703,798
	<u>865,153,792</u>	<u>646,313,080</u>	<u>869,537,847</u>	<u>649,705,208</u>
42.1 Movement of Income Tax Liability				
Balance as at 01st April	646,313,080	152,139,514	649,705,208	155,059,678
Current tax based on profit for the year	858,531,644	564,646,012	871,394,908	575,951,624
(Over)/under provision in respect of previous years	(93,019,943)	26,249,356	(93,019,943)	26,249,356
Provision for contingent liabilities	236,246,967	131,940,390	236,246,967	131,940,390
Provision for contingent liabilities - FVAT paid	-	14,790,834	-	14,790,834
Payment of tax	(782,917,956)	(243,453,026)	(794,789,292)	(254,286,674)
Balance as at 31st March	<u>865,153,792</u>	<u>646,313,080</u>	<u>869,537,847</u>	<u>649,705,208</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

	Company 2022 Rs.	2021 Rs.	Group 2022 Rs.	2021 Rs.
43 RETIREMENT BENEFIT OBLIGATIONS				
Gratuity Liability				
43.1 Liability Recognized in the Statement of Financial Position				
Balance as at 01st April	12,924,029	(1,046,687)	15,988,862	1,244,584
Amount charged/(reversed) for the year (Note - 43.2)	157,968,923	56,890,687	157,801,615	57,664,249
Transfer to gratuity trust fund	(39,309,174)	(31,486,681)	(39,309,174)	(31,486,681)
Payments made during the year	(10,155,107)	(11,433,290)	(10,155,107)	(11,433,290)
Balance as at 31st March (Note 43.2 & 43.3)	121,428,671	12,924,029	124,326,196	15,988,862
43.2 Amount charged/(reversed) for the year				
Current service cost for the year	42,906,153	31,937,917	43,178,052	32,575,469
Interest cost for the year	24,804,607	29,584,585	25,153,346	29,718,619
Expected return on plan assets	(23,907,450)	(29,700,004)	(23,907,450)	(29,700,004)
	43,803,310	31,822,498	44,423,948	32,594,084
Amount Recognised in Other Comprehensive Income				
Net actuarial (gains)/ losses	114,165,613	25,068,189	113,377,667	25,070,165
Amount Charged for the year	157,968,923	56,890,687	157,801,615	57,664,249
43.3 Changes in the Present Value of Obligation				
Present value obligation as at 01st April	354,459,035	295,781,549	355,567,387	296,118,315
Interest cost	24,804,607	29,584,585	25,153,346	29,718,619
Current service cost	42,906,153	31,937,917	43,178,052	32,575,469
Benefits paid / payable	(10,155,107)	(11,433,290)	(10,155,107)	(11,433,290)
Actuarial (Gain) / Loss	66,012,080	8,588,274	66,012,080	8,588,274
Present value obligation as at 31st March	478,026,768	354,459,035	479,755,758	355,567,387
43.4 Movement in the Present Value of Plan Assets				
Value of plan assets as at 01st April	341,535,006	297,000,040	339,578,525	295,045,535
Expected return on the plan assets for the period	23,907,450	29,700,004	23,907,450	29,700,004
Contribution paid to the plan	39,309,174	31,486,681	39,309,174	31,486,681
Actuarial gain/(loss) on plan assets	(48,153,533)	(16,651,719)	(47,365,587)	(16,653,695)
Value of plan assets as at 31st March	356,598,097	341,535,006	355,429,562	339,578,525
Retirement Benefit Liability	121,428,671	12,924,029	124,326,196	15,988,862
43.5 Assumptions				
Discount rate	15%	7%	15%	7%
Salary scale	13.0%	6.0%	13.0%	6.0%
Mortality table	A 67/70	A 67/70	A 67/70	A 67/70
Staff turnover	12%	21%	12%	21%
Retirement age	Normal retirement age, or age on valuation date, if greater.			

An actuarial valuation of the gratuity was carried out as at 31st March 2022 by Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by LKAS 19.



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Sensitivity Analysis of Present Value of Defined Benefit Obligation	2022 Rs.	2021 Rs.
A one percentage point increase (+1%) in the discount rate	453,066,378	340,082,785
A one percentage point decrease (-1%) in the discount rate	505,677,973	9,516,350
A one percentage point increase (+1%) in the salary/wage increment rate	507,676,378	428,767,007
A one percentage point decrease (-1%) in the salary/wage increment rate	450,896,313	338,534,851

44 DEFERRED TAX ASSETS AND LIABILITIES

	Company		Group	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Deferred tax liability				
Balance as at 01st April	555,848,404	530,275,377	555,855,791	530,283,797
Recognised in profit & loss	(45,119,974)	(144,197,938)	(45,127,362)	(144,198,971)
Recognised in other comprehensive income	-	169,770,965	-	169,770,965
Balance as at 31st March	510,728,430	555,848,404	510,728,430	555,855,791
Deferred tax asset				
Balance at 01st April	144,831,784	295,240,407	145,567,344	295,790,312
Recognised in profit & loss	37,447,944	(156,424,988)	37,518,163	(156,239,333)
Recognised in other comprehensive income	27,399,747	6,016,365	27,399,747	6,016,365
Balance as at 31st March	209,679,475	144,831,784	210,485,254	145,567,344
Net Deferred tax liability / (asset)	301,048,955	411,016,620	300,243,176	410,288,447

Alliance Finance Company PLC
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	Company		Group	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
44.1 Composition of Deferred Tax Assets and Liabilities				
Liabilities				
Accelerated depreciation - Own assets	5,348,710	9,516,350	5,348,710	9,523,737
Lease rentals	76,612,713	117,565,047	76,612,713	117,565,047
Recognised in revaluation surplus	428,767,007	428,767,007	428,767,007	428,767,007
	<u>510,728,430</u>	<u>555,848,404</u>	<u>510,728,430</u>	<u>555,855,791</u>
Assets				
Accelerated depreciation - Own assets	21,191,365	9,041,878	21,191,365	9,227,533
Defined benefit obligation	29,117,081	3,101,767	29,922,860	3,651,672
Provisions	125,954,917	126,671,774	125,954,917	126,671,774
Recognised in other comprehensive income	33,416,112	6,016,365	33,416,112	6,016,365
	<u>209,679,475</u>	<u>144,831,784</u>	<u>210,485,254</u>	<u>145,567,344</u>

45 STATED CAPITAL
45.1 Issued and Fully Paid-Ordinary shares

Ordinary shares	613,980,000	613,980,000	613,980,000	613,980,000
	<u>613,980,000</u>	<u>613,980,000</u>	<u>613,980,000</u>	<u>613,980,000</u>

45.2 Number of Shares

Balance as at 01 April	33,696,000	33,696,000	33,696,000	33,696,000
	<u>33,696,000</u>	<u>33,696,000</u>	<u>33,696,000</u>	<u>33,696,000</u>

45.3 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

Shares in the Alliance Finance Company PLC are quoted in the Colombo Stock Exchange.

46 RETAINED EARNINGS

	Company		Group	
As at 31st March	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
As at 01st April	2,295,549,890	1,777,742,345	2,374,274,468	1,833,953,692
Dividend paid	(404,352,000)	-	(408,161,429)	-
Profit for the year	1,463,100,626	560,889,794	1,492,529,033	583,404,287
Transfer of realised share disposal profit from FVTOCI	(22,902,218)	4,014,065	(22,902,218)	4,014,065
Adjustment on actuarial gain / (losses) on defined benefit plan	(86,765,866)	(19,051,824)	(86,262,053)	(19,053,087)
Transfer of realised gain on investment property	332,627,451	-	332,627,451	-
Net Asset adjustment - Associate Company	(3,864,484)	-	(20,372,399)	-
Transfers to statutory reserve fund	(73,155,031)	(28,044,490)	(73,155,031)	(28,044,490)
As at 31st March	<u>3,500,238,368</u>	<u>2,295,549,890</u>	<u>3,588,577,822</u>	<u>2,374,274,468</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.



Alliance Finance Company PLC

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As at 31st March 2022

47 RESERVES

	Company			Group		
	2021 Rs.	Transfers Rs.	2022 Rs.	2021 Rs.	Transfers Rs.	2022 Rs.
Fair Value Through OCI (Note 47.1)	58,527,420	(80,255,778)	(21,728,358)	58,527,420	(80,255,778)	(21,728,358)
Capital reserve (Note 47.2)	1,556,017,602	(332,627,451)	1,223,390,151	1,556,017,602	(332,627,451)	1,223,390,151
General reserve	388,258,055	-	388,258,055	388,258,055	-	388,258,055
Statutory reserve fund (Note 47.3)	904,081,009	73,155,031	977,236,040	904,081,009	73,155,031	977,236,040
	<u>2,906,884,087</u>	<u>(339,728,198)</u>	<u>2,567,155,889</u>	<u>2,906,884,087</u>	<u>(339,728,198)</u>	<u>2,567,155,889</u>

47.1 Fair Value Through OCI

The Fair Value through other Comprehensive income reserve represents the mark to market change in the market values of the quoted share investments.

47.2 Capital Reserve - Revaluation Reserve

The Capital Reserves represents the increase in the fair value of the land & buildings at the date of revaluation. The Company revalues its freehold lands and buildings in every three to five years, unless significant changes in fair values indicate it may be necessary to revalue freehold lands and buildings on an earlier date, to ensure that the carrying amounts do not differ materially from the fair values at the end of the reporting date.

The Company treats 50% of the revaluation surplus as supplementary capital in the Total Capital Base in the computation of the Risk Weighted Capital Adequacy Ratio in accordance with the Central Bank of Sri Lanka, Finance Companies (Risk Weighted Capital Adequacy Ratio) Direction No.03 of 2018 on Capital Adequacy Requirements.

47.3 Statutory Reserve Fund

From 2020/21 financial year onwards, as Company fulfil with the requirement mentioned in the section 3 (b) of Finance Companies (Capital Funds) Direction No.1 of 2003, 5 % of profits after tax of 2022 is transferred to the Statutory Reserve Fund. This balance in the Statutory Reserve Fund will be used only for the purposes specified in the Finance Business Act, No.42 of 2011.

48 CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of the business, the Company makes various commitments and incurs certain contingent liabilities. The company has made a provision against contingent liabilities.

	Company		Group	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Financial guarantees				
Tax Appeal Commission	-	26,984,181	-	26,984,181
Bank Guarantees	-	75,000,000	-	75,000,000
Hotel Developers (Lanka) Ltd	500,000	-	500,000	-
SMCC-SANKEN JV-Behalf of Thuru Viyana	3,433,521	-	3,433,521	-
Sri Lanka Air Lines	826,200	826,200	826,200	826,200
	<u>4,759,721</u>	<u>102,810,381</u>	<u>4,759,721</u>	<u>102,810,381</u>
Tax Assessments				
Income Tax 2014/15	121,253,215	121,253,215	121,253,215	121,253,215
Income Tax 2017/18	241,413,983	241,413,983	241,413,983	241,413,983
Less: Provisions made as at 31st March	(329,011,348)	(204,144,502)	(329,011,348)	(204,144,502)
	<u>33,655,850</u>	<u>158,522,696</u>	<u>33,655,850</u>	<u>158,522,696</u>
Total	<u>38,415,571</u>	<u>261,333,077</u>	<u>38,415,571</u>	<u>261,333,077</u>

The department of Inland Revenue has sent tax assessments for the years of assessment 2014/15 for an additional tax liability of Rs. 85,274,307 and a penalty of Rs.35,978,908/- and for the year of assessment 2017/18, for an additional liability of Rs. 160,940,789 and a penalty of Rs.80,473,194/-. The Company has formally objected to above assessments stating the reasons on which the Company believes that assessments are arbitrary and excessive. Company has also actively engaged with the Department of Inland Revenue to conclude these pending assessments. Based on the outcome of the discussion and agreement reached or likely to reach with the Department of Inland Revenue, management has made a provision of Rs. 329,011,348/- stated on Note 48.



Alliance Finance Company PLC

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48.1 Litigations Against the Company

Litigation is a common occurrence in the Finance Industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. No material losses are anticipated as a result of these transactions.

There were no any other capital commitments or contingent liabilities as at the end of reporting date which requires separate disclosure to these financial statements.

49 EVENTS AFTER THE REPORTING PERIOD

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. No circumstances have arisen since the reporting date which would require adjustments to disclosure in the financial statements except the following.

The rupee depreciated steeply after March 2022, as an attempt was made to free float the currency amidst the shortage of foreign exchange liquidity in the domestic foreign exchange market.

Market interest rates notably adjusted upwards reflecting the significant monetary policy tightening measures taken by the Central Bank in April 2022. The interest rates on deposit and lending products of financial institutions adjusted upwards considerably, correcting some anomalies that prevailed in the market interest rate structure.

Anxieties among the general public in relation to the political unrest, shortages of essential items resulted peaceful protests to commence island wide, subsequently these protests at times turned violent creating a greater uncertainty. Economic activity is expected to be affected considerably by the ongoing supply shortages, energy related issues and social tensions, as reflected by several leading indicators.

Sri Lankan government suspended the servicing of certain foreign debts including international sovereign bonds for an interim period pending an orderly and consensual restructuring of those obligations in a manner consistent with an economic adjustment program supported by the IMF.

On the backdrop of the above, international rating agencies downgraded Sri Lanka's long term Issuer Debt Rating and International Institutions such as World Bank, IMF, UN and ADB revised Sri Lanka's economic growth projections substantially.

While the Central Bank of Sri Lanka and the government attempts to introduce series of fiscal and monetary measures to address the current crisis including tax restructuring, IMF program negotiations and intervening to manage currency, Management has considered the current economic situation of the country in preparing these financial statements as far as applicable specially in the computations of Expected credit costs. Accordingly, a significant amount of additional impairment provisions were incorporated in by way of Management overlays.

50 Comparative changes

- a) Comparative of the following notes were changed for better representation purpose

	Amount	Current year classified under	Comparative year classified
Staff loans	3,314,995	Loans & Advances	Other Financial Assets

- b) During the year, the company changed the presentation of the following notes relating to; Loans and advances (note 23), Lease rentals receivable & stock out on hire (note 24), and Hire purchase rentals receivable & stock out on hire (note 25) in order to match the disclosures with the accounting policy (note 4.8.1) relating to the recognition of interest income on credit-impaired financial assets which are classified under Stage 3 (NPLs). Accordingly, the comparatives were also changed to match the improved presentation.



NOTES TO THE FINANCIAL STATEMENTS

51
SEGMENT REPORT[illegible]

Segment assets	25,503,747,256	8,458,166,393	6,388,969,206	133,695,138	184,720,810	1,752,280,225	58,441,360	1,497,027,636	43,977,048,024
Investment in associates									83,092,843
Unallocated company assets									<u>4,282,756,175</u>
Total assets									<u><u>48,342,897,042</u></u>
Segment liabilities	22,403,945,850	7,014,723,551	5,298,648,747	110,879,165	153,196,964	1,453,241,848	48,467,950	1,241,549,826	37,724,653,901
Unallocated company liabilities									3,776,050,623
Total liabilities									<u><u>41,500,704,524</u></u>

Alliance Finance Company PLC

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For the year ended 31st March 2022

51 SEGMENT REPORT

51.2

31st March 2021 - Group	Leasing		Hire Purchase & Consumer Durables		Loans		Gold Loans		Hire of vehicles		Investing in Shares		Investing in Government Securities		Collaboration Finance		Others		Total		Restated	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	
REVENUE																						
External sales	18,423,558,643		4,787,402		705,904,625		625,829,719		27,621,688		6,825,336		100,630,750		9,088,795		505,868,096		20,410,115,055			
Total revenue	18,423,558,643		4,787,402		705,904,625		625,829,719		27,621,688		6,825,336		100,630,750		9,088,795		505,868,096		20,410,115,055			
Total income	5,871,994,440		4,547,059		706,144,970		625,829,719		27,621,688		6,825,336		113,029,684		13,711,680		493,469,162		7,863,173,738			
RESULTS																						
Segment results	4,520,881,821		4,612,995		197,257,696		510,031,077		9,876,396		6,109,349		101,913,579		13,711,680		457,672,983		5,822,067,576			
Unallocated company expenses																			(1,569,156,734)			
Operating profit																			4,252,910,842			
Interest expenses	(1,921,138,803)		(532,939)		(354,135,052)		(283,459,051)		(9,337,117)		(19,590,523)		(151,710,823)		(4,701,332)		(168,151,119)		(2,912,756,759)			
Share of profits of associates before tax																			2,129,346			
Income taxes																			(746,181,731)			
Net Profit																			596,101,699			
OTHER INFORMATION																						
Segment assets	19,978,211,851		5,542,117		3,682,703,763		2,947,733,379		97,098,082		203,724,803		1,577,663,708		48,889,858		1,748,628,777		30,290,196,338			
Investment in associates																			96,563,532			
Unallocated company assets																			3,890,338,572			
Total assets																			34,277,098,442			
Segment liabilities	16,910,073,531		4,395,108		2,920,523,162		2,337,663,892		77,002,446		161,561,462		1,251,146,901		38,771,504		1,386,728,658		25,087,866,664			
Unallocated company liabilities																			3,240,138,218			
Total liabilities																			28,328,004,882			



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

52 FAIR VALUE OF FINANCIAL INSTRUMENTS

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. The amounts are based on the values recognised in the Statement of Financial Position.

52.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques.

- Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities.
- Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.
- Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy.

Company		Level 1	Level 2	Level 3	Total
As at 31st March 2022		Rs.	Rs.	Rs.	Rs.
Financial Assets	Note				
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills/bonds	22	-	1,502,280,225	-	1,502,280,225
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Quoted equities	26	184,141,634	-	-	184,141,634
Total Financial Assets		184,141,634	1,502,280,225	579,250	1,687,001,109
As at 31st March 2021					
Financial Assets		Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills / bonds	22	-	1,177,459,993	-	1,177,459,993
Investments in Unit Trusts	22	-	-	-	-
Quoted equities	26	203,145,552	-	-	203,145,552
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Total Financial Assets		203,145,552	1,177,459,993	579,250	1,381,184,795
Group					
As at 31st March 2022					
Financial Assets		Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills / bonds	22	-	1,502,280,225	-	1,502,280,225
Investments in Unit Trusts	22	-	-	-	-
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Quoted equities	26	184,141,634	-	-	184,141,634
Total Financial Assets		184,141,634	1,502,280,225	579,250	1,687,001,109
As at 31st March 2021					
Financial Assets		Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills	22	-	1,177,459,993	-	1,177,459,993
Investments in Unit Trusts	22	-	-	-	-
Quoted equities	26	203,145,552	-	-	203,145,552
other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Total Financial Assets		203,145,552	1,177,459,993	579,250	1,381,184,795

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NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2022

FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)

52.2 Determination of Fair Value and Fair Value Hierarchy

Set out below is the comparison by classes of the carrying amounts of fair values of the Company's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of non- financial assets and non- financial liabilities.

Company	2022		2021	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	795,260,944	795,260,944	587,405,947	587,405,947
Repurchase agreement	250,000,000	250,000,000	400,203,715	400,203,715
Placement with banks & other financial institutions	287,925,208	287,925,208	793,564,909	793,564,909
Loans and advances	14,797,772,357	14,797,772,357	6,626,972,697	6,984,865,437
Lease rentals receivables	25,503,747,256	25,503,747,256	19,978,211,851	19,061,683,706
Hire purchase receivables	-	-	5,542,117	5,542,117
Other financial assets	636,340,449	636,340,449	492,931,228	492,931,228
Total Financial Assets	42,271,046,214	42,271,046,214	28,884,832,464	28,326,197,059
Financial Liabilities				
Due to banks	22,558,061,981	22,558,061,981	13,214,241,102	13,214,241,102
Due to customers	14,681,375,682	14,142,562,166	12,918,786,478	12,953,194,241
Debt instruments issued and other borrowed funds	867,759,553	867,759,553	-	-
Financial liabilities	1,670,249,511	1,670,249,511	883,877,701	883,877,701
Total Financial Liabilities	39,777,446,727	39,238,633,211	27,016,905,281	27,051,313,044
Group				
	2022		2021	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	898,748,640	898,748,640	637,840,499	637,840,499
Repurchase agreement	250,000,000	250,000,000	400,203,715	400,203,715
Placement with banks & other financial institutions	287,925,208	287,925,208	793,564,909	793,564,909
Loans and advances	14,797,772,357	15,353,859,752	6,626,972,697	6,984,865,437
Lease rentals receivables	25,503,747,256	26,161,165,177	19,978,211,851	19,061,683,706
Hire purchase receivables	-	-	5,542,117	5,542,117
Other financial assets	630,656,592	630,656,592	564,090,869	564,090,869
Total Financial Assets	42,368,850,053	43,582,355,369	29,006,426,656	28,447,791,252
Financial Liabilities				
Due to banks	22,558,061,981	22,558,061,981	13,214,241,102	13,214,241,102
Due to customers	14,681,375,682	14,142,562,166	12,918,786,478	12,372,197,246
Debt instruments issued and other borrowed funds	867,759,553	867,759,553	-	-
Financial liabilities	1,704,808,662	1,704,808,662	899,693,781	810,353,917
Total Financial Liabilities	39,812,005,878	39,273,192,362	27,032,721,361	26,396,792,265



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

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FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)

Fair Value of Financial Assets and Liabilities not Carried at Fair Value

The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to fixed deposits and savings deposits without a specific maturity.

Long term deposits accepted from customers for which periodical interest is paid and loans and advances granted to customers with a variable rate are also considered to be carried at fair value in the books.

Fixed rate financial instruments

Carrying amounts are considered as fair values for short term credit facilities. Loans and Advances with fixed interest rates were fair valued using market rates at which fresh loans were granted during the fourth quarter of the reporting year. Conversely, fixed deposits with original tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the fourth quarter of the reporting year. For quoted debt issued the fair value are determined based on quoted market prices.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

53 RELATED PARTY TRANSACTIONS

The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with parties who are defined as Related Parties as per the Sri Lanka Accounting Standard - LKAS 24 'Related Party Disclosures', except for the transactions that Key Management Personnel (KMPs) have availed under schemes uniformly applicable to all staff at concessionary rates.

Details of related party transactions which the Company had during the year are as follows,

53.1 Transactions with Key Managerial Personnel (KMPs)

Related party includes KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities for the Company. Such KMPs include the Board of Directors of the Company (include executive and non executive directors), executives who directly report to Board sub committees and other key executives who meet the criteria described above.

53.2 Compensation to Key Management Personnel

	2022	2021
	Rs.	Rs.
KMP's Emoluments (other than directors)		
Short term	135,232,958	95,034,452
Long term	24,738,216	31,909,652
	<u>159,971,174</u>	<u>126,944,104</u>
Remuneration and other expenses of directors		
Short term	79,160,550	64,674,378
Long term & post employment benefits	13,572,413	11,866,620
	<u>92,732,963</u>	<u>76,540,998</u>

53.3 Transactions, Arrangements and Agreements Involving KMPs, and their Close Family Members (CFMs)

Close Family Members (CFMs) of a KMPs are those family members who may be expected to influence, or be influenced by, that KMP in their dealing with the entity. They may include KMPs domestic partner and children of the KMP, the children of KMP's domestic partner and dependents of KMP and KMPs domestic partner.

53.4 Transactions involving Key Management Personnel (KMPs) and their Close Family Members (CFMs)

Statement of Financial Position - Company and Group

	2022	2021
	Rs.	Rs.
Liabilities		
Financial Liabilities measured at amortised cost - due to depositors		
Fixed deposits	275,992,066	127,325,904
Savings Deposits	140,967,004	60,900,657

Assets - Company and Group

Financial assets measured at amortised cost - Loans and advances to customers	20,429,848	20,073,388
Financial assets measured at amortised cost - Lease rentals receivable & stock out of hire	216,051	-

Statement of Profit or Loss - Company & Group

Interest income	1,667,243	1,009,271
Interest expenses	18,148,227	13,668,396

No of Shares held by KMPs

Ordinary shares	11,699,631	11,051,366
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Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

53.5 Transaction, arrangements and agreements involving with Entities which are controlled, and /or jointly controlled by the KMP's and their CFMs .

	Nature of the Relationship	Nature of Transaction / Facility	Company	
			2022 Rs.	2021 Rs.
Alfinco Insurance Brokers (Pvt) Ltd.	Subsidiary	Saving deposits	743,893	711,220
		Insurance referral income	41,662,844	63,934,249
		Shared service fee income	22,177,631	-
Alliance Management Services (Pvt) Ltd	Other related parties	Fixed deposits	1,921,453	1,861,025
		Secretarial fees	849,551	752,961
		Saving deposits	25,164	24,059
Alliance Travel Services Ltd	Other related parties	Fixed deposits	4,267,960	4,247,198
		Saving deposits	331,924	308,424
Alliance Tech Trading (Pvt) Ltd.	Other related parties	Fixed deposits	14,572,855	14,113,592
Alliance Ventures Pvt Ltd	Other related parties	Fixed deposits	954,973	983,945
		Saving deposits	22,491	10,194
Alliance Agencies Ltd	Other related parties	Fixed deposits	10,000,000	10,000,000
		Saving deposits	929,183	160,015
Alliance Graphic Services (PVT) Limited	Other related parties	Fixed deposits	7,831,513	4,982,256
Heshia Shipping (Pvt) Limited	Other related parties	Fixed deposits	4,385,238	4,185,153

53.6 Parent and Ultimate Controlling Party

The Company does not have an identifiable parent of its own.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

54 FINANCIAL RISK MANAGEMENT

54.1 Introduction

Constantly assessing and being cognizant of the concept of risk is fundamental to the managerial philosophy of Alliance Finance Company PLC.

Consequent to the global, economic and financial crises, companies are placing greater emphasis on risk management by adopting comprehensive risk management framework to increasingly safeguard stakeholder interest. Due to diversified and geographic spread of the portfolio of businesses, Alliance Finance maintains a holistic risk management system that continuously monitors primary risk factors. Risk mitigation actions are also built in to the day - to day operations of the Company. The Company's business divisions are closely monitored through a comprehensive computerized information system and employees, ranging from managerial credit and other officers, have been apprised and trained to adopt risk management practices as an integral part of their decision making.

Risk Coverage

The Company's Comprehensive risk management framework covers three major areas that comprise credit risk, liquidity risk, and market risk management.

Risk is inherent in the Company's activities but it is managed through a process of ongoing identification, analysis, measurement and continuous monitoring, subject to the risk limits and their controls.

54.2 Credit Risk

Credit risk is the risk that the company will incur a loss because its customers or counterparties fail to discharge their contractual obligations and arises principally from the loans and advances to the customers. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

54.2.1 Credit quality analysis

The Company has established a credit quality review process to provide early identification of possible changes in the credit worthiness of counter parties, including regular collateral revisions. Counter party limits are established by the use of a credit risk classification system, which assigns each counterparty a risk rating. Risk ratings are subject to regular revision. The credit quality review process aims to allow the Company to assess the potential loss as a result of the risks to which it is exposed and take corrective action.

Impairment assessment

For accounting purposes, the Company uses an expected loss model for the recognition of losses on impaired financial assets. The measurement basis generally depends on whether there has been a significant increase in credit risk since initial recognition. Triggering events include the following:

- ☐ Significant financial difficulty of the customer
- ☐ A breach of contract such as a default of payment
- ☐ Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- ☐ It becomes probable that the customer will enter bankruptcy or other financial reorganisation
- ☐ Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

Allowances are assessed collectively for losses on loans and advances that are not individually significant (including hire purchases, lease receivables, other loans and advances and consumer lending) and for individually significant loans and advances that have been assessed individually and found not to be impaired.

Company include macroeconomic factors within its expected credit loss assessments. The Company relies on a broad range of forward looking information as economic inputs, such as GDP growth, unemployment rates, interest rates, treasury bill rate, inflation rate and etc.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

54.2.2 Concentrations of Credit Risk

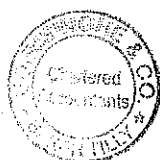
The Company monitors concentration of credit risk by sector exposures.

Industry wise concentration

The following table shows the risk of concentration by industry for the financial assets measured at amortised cost

Sector wise Breakdown	Cash and Bank Balances	Financial assets - fair value through profit or loss	Financial assets - fair value through OCI	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.
Financial services	795,260,944	-	-	287,925,208	1,083,186,152
Government	-	1,502,280,225	-	250,000,000	1,752,280,225
Services	-	-	-	636,340,449	636,340,449
Other	-	-	184,720,884	-	184,720,884
Total	795,260,944	1,502,280,225	184,720,884	1,174,265,657	3,656,527,710

SEGMENT	NET PORTFOLIO
	Rs.
Equipment	19,228,927
Heavy Vehicles and Motor Lorry	2,070,135,011
Agricultural Equipments	6,548,596
Tractor	220,535,313
Two - Wheelers -2W	1,320,936,765
Three Wheelers -3W	13,430,239,242
Transport Vehicles: W-4_<=1Mn	2,427,883,709
Trans: Vehicles: W-4_>1Mn	5,951,183,910
Mortgage Loans_<=2.5Mn	117,690,614
Mortgage Loans_>2.5Mn	471,994,000
Personal Loans (Guarantees & Other)	3,476,555,249
Speed Cash	4,050,306,332
Gold loans	6,388,969,206
Pledge loans	74,985,210
Micro finance loans	30,299,865
Loans against fixed deposits	244,027,663
	40,301,519,613



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

Geographical concentration

Concentration of loans and advances by location is given below.

Province	Balance	%
Western	13,429,754,587	33%
Central	5,062,260,958	13%
North Western	4,176,362,713	10%
Sabaragamuwa	3,008,245,180	7%
Southern	3,156,083,679	8%
Northern	4,066,934,869	10%
Uva	2,733,700,544	7%
Eastern	2,531,192,327	6%
North Central	2,136,984,756	5%
	40,301,519,613	100%

Concentration by location for loans and advances is measured based on the location of the customer centre that granted the facility, which has a high correlation with the location of the borrower.

54.2.3 Risk limit control and mitigation policies

The Company manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and groups, and to industries and geographical locations.

The Company structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to quarterly or more frequent review, when considered necessary. Limits on the level of credit risk by product and industry sector are approved monthly by the Credit Committee.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Collateral and other credit enhancements

The Company employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advances, which is common practice. The Company implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise the credit loss the Company will seek additional collateral from the counterparty as soon as impairment indicators are identified for the relevant individual loans and advances.

Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral. The general creditworthiness of customer tends to be the most. Management monitors the market value of collateral and will request additional collateral in accordance with the underlining agreement. The company pursue timely realisation of the collateral in an orderly manner. The proceeds are used to reduce or repay the outstanding claim.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

54.3 Liquidity Risk

Liquidity risk refers to the unavailability of sufficient cash balances to meet new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments, debt obligations associated with its financial liabilities due to lack of funds or having to meet these obligations at excessive cost. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if its credit rating falls, it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity.

Management of Liquidity Risk

The objective of the Company liquidity and funding framework is to ensure that funding commitments and deposit withdrawals can be met when due and that market access remains cost effective. The Company's liquidity management process, as carried out within the Company and monitored by a separate team in Company Treasury, includes:

- Maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow.
- The Company also has committed lines of credit that it can access to meet liquidity needs.
- The Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.
- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. This includes replenishment of funds as they mature or are borrowed by customers.
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;
- Monitoring the liquidity ratios of the Statement of Financial Position against internal and regulatory requirements and gaps are reviewed at Assets and Liability Committee.
- Managing the concentration and profile of debt maturities.
- Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.
- Company Treasury also monitors unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

54.3.1 Statutory Liquid Asset Ratio

As per the requirements of Finance Companies (Liquid Assets) Direction No. 01 of 2009, Company has to maintain minimum liquid assets, not less than the total of,

- (i) Ten per cent of
 - (a) The outstanding value of the time deposits received by the finance company at the close of the business
 - (b) the face value of certificate of deposits issued by the finance company; as appearing on the books of the finance company at the close of the business of such day and
- (ii) Fifteen per cent of the outstanding value of savings deposits accepted by such company, at the close of the business on such day.

As at 31st March 2022, the Company maintained Statutory Liquid Asset ratio at 15.93% (2021 : 14.68 %).



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

54.3.2 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarizes the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2022.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns

As at 31st March 2022

Financial Assets

Cash and cash equivalents

Repurchase agreements

Placements with banks & financial institutions

Financial assets recognised through profit or loss

Loans and advances - at amortised cost

Lease rentals receivable & stock out on hire - at amortised cost

Hire purchase rentals receivable & stock out on hire - at amortised cost

Derivative financial assets

Financial assets- fair value through other comprehensive income

Other financial assets

Total Financial Assets

Financial Liabilities

Due to banks & other borrowings

Due to depositors - at amortised cost

Other financial liabilities

Total Financial Liabilities

Total Net Financial Assets/(Liabilities)

As at 31st March 2021

Financial Assets

Cash and cash equivalents

Repurchase agreements

Placements with banks & financial institutions

Financial assets recognised through profit or loss

Loans and advances - at amortised cost

Lease rentals receivable & stock out on hire - at amortised cost

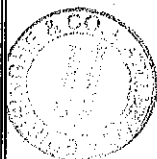
Hire purchase rentals receivable & stock out on hire - at amortised cost

Financial assets- fair value through other comprehensive income

Other financial assets

Total Financial Assets

	On Demand	Less than 03 Months	3-12 Months	1 to 3 Years	3 to 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets							
Cash and cash equivalents	795,260,944	-	-	-	-	-	795,260,944
Repurchase agreements	-	250,000,000	-	-	-	-	250,000,000
Placements with banks & financial institutions	-	48,659,053	239,266,155	-	-	-	287,925,208
Financial assets recognised through profit or loss	-	1,230,678,725	271,601,501	-	-	-	1,502,280,225
Loans and advances - at amortised cost	-	7,206,213,007	5,033,620,292	1,753,312,333	801,962,140	2,664,585	14,797,772,357
Lease rentals receivable & stock out on hire - at amortised cost	-	3,117,959,547	5,542,580,940	12,020,569,375	4,810,817,435	11,819,959	25,503,747,256
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	-	-	-	-	-	-
Derivative financial assets	-	57,573,394	25,349,800	-	-	-	82,923,194
Financial assets- fair value through other comprehensive income	-	-	80,989,739	-	-	-	80,989,739
Other financial assets	-	52,095,019	251,121,882	127,906,958	155,748,619	103,731,145	184,720,884
Total Financial Assets	795,260,944	11,963,178,744	11,444,530,310	13,901,788,666	5,768,528,195	167,683,660	44,040,970,517
Financial Liabilities							
Due to banks & other borrowings	365,468,885	4,496,559,365	5,427,605,948	8,160,920,433	4,975,266,905	-	23,425,821,534
Due to depositors - at amortised cost	-	5,706,799,590	6,850,204,987	1,865,800,145	258,570,958	-	14,681,375,682
Other financial liabilities	-	1,192,935,329	175,230,121	228,896,071	43,043,539	30,144,430	1,670,249,511
Total Financial Liabilities	365,468,885	11,396,294,285	12,453,041,056	10,255,616,649	5,276,881,423	30,144,430	39,777,446,727
Total Net Financial Assets/(Liabilities)	429,792,059	566,884,459	(1,008,510,746)	3,646,172,017	491,646,771	137,539,230	4,263,523,790
As at 31st March 2021							
Financial Assets							
Cash and cash equivalents	587,405,947	-	-	-	-	-	587,405,947
Repurchase agreements	-	400,203,715	-	-	-	-	400,203,715
Placements with banks & financial institutions	-	107,276,395	686,288,514	-	-	-	793,564,909
Financial assets recognised through profit or loss	-	129,683,537	946,758,535	101,017,921	-	-	1,177,459,993
Loans and advances - at amortised cost	-	3,550,238,418	1,406,633,950	1,066,251,104	403,450,612	398,613	6,626,972,697
Lease rentals receivable & stock out on hire - at amortised cost	-	2,240,067,065	5,035,118,951	9,794,610,965	2,908,414,870	-	19,978,211,851
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	5,542,117	-	-	-	-	5,542,117
Financial assets- fair value through other comprehensive income	-	203,724,802	-	-	-	-	203,724,802
Other financial assets	-	37,527,479	256,015,150	107,292,831	92,095,768	-	492,931,228
Total Financial Assets	587,405,947	6,674,265,528	8,530,815,100	11,069,172,821	3,403,961,250	398,613	30,266,017,259



Alliance Finance Company PLC

As at 31st March 2022

54.3.2 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities (Continued.)

Financial Liabilities

Assets held for managing liquidity risk

The Company holds a diversified portfolio of cash and high-quality highly-liquid securities to support payment obligations and contingent funding in a stressed market environment. The Company's assets held for managing liquidity risk comprise:

Cash and balances with central banks;

Government bonds and other securities that are readily acceptable in repurchase agreements with central banks; and

Secondary sources of liquidity in the form of highly liquid instruments in the Company's trading portfolios.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

54.4 Market Risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Company classifies exposures to market risk into either trading or non-trading portfolios and manages each of those portfolios separately. Trading portfolio includes financial assets and liabilities that are managed on a fair value basis. Non trading portfolio is managed in accordance with the purpose and strategic benefits of such investments, rather than purely on fair value basis.

54.5 Interest Rate Risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

To manage the interest rate risk, company has established limits on the non-trading interest rate gaps for stipulated periods. The Company's policy is to monitor positions on a daily basis and hedging strategies are used to ensure positions are maintained within the established limits. Which is supplemented by monitoring the sensitivity of the company's financial assets and liabilities to various rate scenarios. Net interest yields are also calculated for each product

Interest Rate Sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the company's Income Statement & Equity. Impact on Net Interest Income due to a parallel rate shock of 100 basis points (bps) on the rate sensitive assets and liabilities is shown below.

Currency of Borrowings/ Advance	Increase (Decrease) in 100 basis points	Sensitivity of Net Interest Income	
		2022	2021
		Rs. ('000)	Rs. ('000)
Borrowing at floating Rate	+100/ (-100)	(112,352)/112,352	(48,817)/48,817



Alliance Finance Company PLC

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As at 31st March 2022

54.5.1 Interest rate risk exposure on non trading financial assets & liabilities

The table below analyses the company's interest rate risk exposure on financial assets & liabilities. The company's assets & liabilities are included at carrying amount and categorized by the earlier of contractual repricing or maturity dates.

As at 31st March 2022	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non Interest Bearing	Total as at 31/03/2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and cash equivalents	663,424,138	-	-	-	131,836,806	795,260,944
Repurchase agreements	250,000,000	-	-	-	-	250,000,000
Placements with banks & financial institutions	48,659,053	239,266,155	-	-	-	287,925,208
Financial assets recognised through profit or loss	1,230,678,725	271,601,501	-	-	-	1,502,280,225
Loans and advances - at amortised cost	7,206,213,007	5,033,620,292	2,555,274,472	2,664,585	-	14,797,772,357
Lease rentals receivable & stock out on hire - at amortised cost	3,117,959,547	5,542,580,940	16,831,386,810	11,819,959	-	25,503,747,256
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	-	-	-	-	-
Financial assets- fair value through other comprehensive income	-	-	-	-	184,720,884	184,720,884
Other financial assets	52,095,019	251,121,882	283,655,577	49,467,971	-	636,340,449
Total Financial Assets	12,569,029,488	11,338,190,771	19,670,316,859	63,952,515	316,557,690	43,958,047,323
Financial Liabilities						
Due to banks	4,862,028,250	5,427,605,948	13,136,187,336	-	-	23,425,821,534
Due to depositors - at amortised cost	5,706,799,590	6,850,204,987	2,124,371,105	-	-	14,681,375,682
Other financial liabilities	1,192,935,329	175,230,121	271,939,630	30,144,430	-	1,670,249,511
Derivative financial liabilities	-	-	-	-	-	-
Total Financial Liabilities	11,761,763,170	12,453,041,056	15,532,498,072	30,144,430	-	39,777,446,727
Interest Sensitivity Gap	807,266,318	(1,114,850,285)	4,137,818,788	33,808,085	316,557,690	4,180,600,596



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

54.5.2 Exchange rate risk

Exchange rate risk is the risk of loss as a result of unhedged exposure to volatility in the local exchange rate with other major currencies

The following significant exchange rates were applied during the year

	Average Rate 2022	Reporting date spot rate	
		2022	2021
USD/ LKR	205.36	299.00	200.50

The Company's exposure to foreign currency risk is as follows;

As at 31st March 2022

	Rs.	USD / Rs.	Total (USD)
Cash & Cash Equivalents	50,974,221	299.00	170,482
Borrowings	5,051,819,106	212.48	23,775,326
	5,102,793,327		23,945,810

Foreign Currency Sensitivity

An estimation of the impact of the currency risk with respect of financial instruments with a 5% change in US Dollar exchange rate is given below. In calculation of risk it is assumed that all other variable factors are held constant. The calculation of sensitivity has been performed only on the assets and liabilities denominated in foreign currency of the Company as at 31st March 2022.

	Effect on profit or loss (Rs.)	Effect on equity (Rs.)
USD depreciated against LKR by 5%	255,139,666	255,139,666
USD appreciated against LKR by 5%	(255,139,666)	(255,139,666)

54.5.3 Commodity price risk

Commodity price risk refers to the uncertainties of future market values and of the size of future income, caused by the fluctuation in the prices of commodities. Given the significance of the Gold Loans business to the Company's overall loan book, sharp fluctuations to the gold prices could have an adverse impact to earnings. Gold price fluctuations lead to market risk is the primary source of credit risk associated with this product. The company manage gold commodity risk bys concentrarting short term products and revise LTV on routine intervals.

54.5.4 Equity price risk

Equity price risk is the risk that the fair value of equities decreases as a result of changes in the levels of equity indices and the value of individual stocks



Alliance Finance Company PLC

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As at 31st March 2022

54.6 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

Business were stress tested with multiple operating scenarios to ascertain the impact on the ability to sustain its operations with liquidity reserves in place. With the assumptions and different levels of operations the company satisfied of the ability of the business manage its operations even an extreme tested scenarios.

The key focus of the Company will be to manage the liquidity, particularly given the debt moratorium announced by the Central Bank.

54.7 Capital

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

The Company's objectives when managing capital, which is a broader concept than the 'equity' on the face of the consolidated statement of financial position, are:

- To comply with the capital requirements set by the regulators of the financing markets where the entities within the Company operate;
- To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored monthly by the Company's management, employing techniques based on the guidelines developed by the Central Bank of Sri Lanka, for supervisory purposes. The required returns is filed with the Authority on a monthly basis.

The Company maintains a ratio of total regulatory capital to its risk-weighted assets above a minimum level agreed with the Authority which takes into account the risk profile of the Company.

The regulatory capital requirements are strictly observed when managing economic capital. The Company's regulatory capital is managed by each month by board of directors and comprises two tiers:

Capital Management

For a financial institution capital is a buffer against insolvency. It is available to absorb unforeseen losses which asserts the Company's ability to continue operations in to the foreseeable future. The more capital the company has relative to the risks it takes, the more confident the stakeholders are that it will meet its obligations to them. Company's capital management process is steered with the aim of holding sufficient capital to support the Company's risk appetite whilst maintaining adequate capital to meet minimum regulatory capital requirements.

Tier 1 Capital is capital which is permanently and freely available to absorb losses without a finance company being obliged to cease trading. Tier 1 Capital consists of paid up ordinary share capital, free reserves, statutory reserve fund and audited retained earnings. Tier 1 Capital is important because it safeguards both the survival of a finance company and stability of the financial system.

Tier 2 Capital is capital which generally absorbs losses only in the event of a winding up of a finance company, and so provides a lower level of protection for depositors and other creditors. Tier - 2 Capital includes revaluation reserve, general provisions and hybrid capital instruments and approved subordinated term debts.

Credit Risk

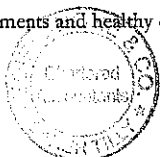
Total Amount of on balance sheet items, risk weighted CRMs and total amount of credit equivalent of off balance sheet items after applying the specific risk weight assigned is considered as credit risk.

Operational risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events.

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed

capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022

Measures taken to consider capital adequacy requirements of the Company

- 1 The Company prepares the Corporate Plan and Budget on a rolling basis covering a period of 5 years which includes the computation of Capital Adequacy ratios (CARs).
- 2 The Company carefully analyses the CARs against increases in risk-weighted assets underlying the budgeted expansion of business volumes.
- 3 The Company has set up an internal guideline on minimum CARs and ensures that appropriate measures are employed to improve the CARs are also built into the budget. Budgeting process of the Company encapsulates all future capital requirements and this process invariably captures estimated capital expenditure and the business growth in determining the optimum level of capital to be maintained.
- 4 The Company has addressed all material risk exposures when formulating strategic plan and has a well-diversified assets portfolio which is neither overly exposed to any counterparty nor to any sector. Ways and means of improving the CARs are being monitored on an ongoing basis.
- 5 The Company always strives to achieve a reasonable growth in profit and is ever mindful to pay a consistent stream of dividends to the shareholders. Part of the profit generated is retained for future business expansion. Given the size of the Company, capital generated through retained profits over the years could be considered as one of the primary sources of internal capital to the Company.

Capital management objectives

The objectives of the Company's Capital Management efforts include:

- Compliance with the regulatory requirements
- Maintaining internal capital targets which are more stringent than the regulatory requirements
- Optimum capital usage for maximum profitability (which meets investor expectations)
- To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders and
- To maintain a strong capital base to support the development of its business.

The table below summarises the composition of regulatory capital and the ratios of the Company for the years ended 31 March 2022 and 2021. During those two years, the Company has complied with all of the externally imposed capital requirements to which they are subject.

Capital Adequacy Ratios

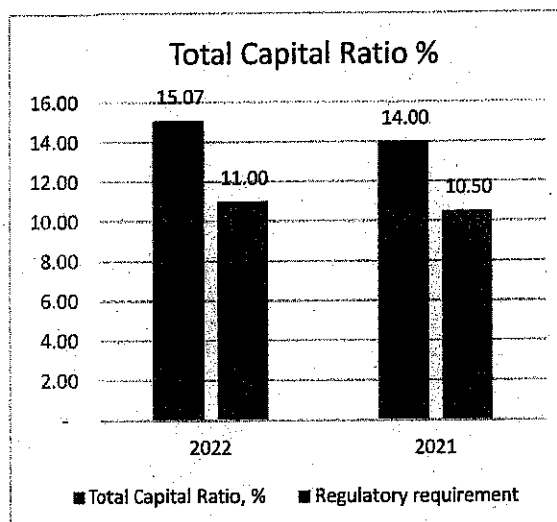
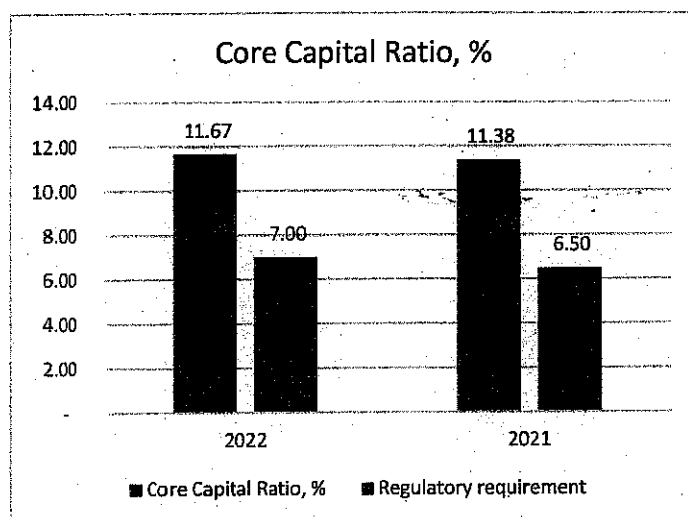
As at 31st March	2022	2021
	Rs. 000	Rs. 000
Fixed Capital	5,259,722	5,042,172
Total Capital	6,794,427	4,351,067
Total Risk Weighted Amount	45,074,737	34,640,612
Risk Weighted Amount for Credit Risk	38,457,868	28,626,111
Risk Weighted Amount for Operational Risk	6,616,869	6,014,501
Core Capital Ratio, %	11.67	11.38
Regulatory requirement	7.00	6.50
Total Capital Ratio, %	15.07	14.00
Regulatory requirement	11.00	10.50



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2022



Regulatory measures taken by the Central Bank of Sri Lanka to provide flexibility to Licensed Finance Companies to support business and individuals affected by the outbreak of COVID-19. The CBSL defer the maintenance of Capital Adequacy requirement by LFCs, which will be to meet the minimum Capital Adequacy Requirement by 01.07.2020 and 01.07.2021 in terms of the Finance Business Act Direction No.03 of 2018 – Capital Adequacy requirements until 01.07.2021 and 01.07.2022 respectively.

